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The middle class and vulnerability to income poverty: Implications for social protection in the Philippines

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The Middle Class and Vulnerability to Income Poverty: Implications for Social Protection in the Philippines

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and Mohammad A. Mahmoud*

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Implications for Social Protection in the Philippines

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PHILIPPINE INSTITUTE FOR DEVELOPMENT STUDIES

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Abstract

The Philippines aspires to become a predominantly middle-class society by 2040. Significant strides have been achieved in the reduction of extreme poverty. However, the COVID-19 pandemic exposed the fragility of recent gains and the vulnerability of many households to economic shocks. This study examines the dynamics and characteristics of the middle-income class and analyzes household vulnerability to income poverty using the Family Income and Expenditure Survey and Labor Force Survey data from 2018, 2021 and 2023 using the methodology developed by Chaudhuri and Datt (2001).

Traditional poverty measures underestimate the at-risk population. Vulnerability affects 30.0 percent of Filipino households, 2.75 times higher than the household poverty incidence of 10.9 percent in 2023. Households face vulnerability for distinctly different reasons. Eighty-six percent of vulnerable families experience income volatility, while seventy-three percent of the highly vulnerable have persistently low incomes. Stark rural-urban disparities also persist, with rural vulnerability incidence at 43.0 percent in contrast with 20.0 percent in urban areas. Regional variations of vulnerability range from 9.0 percent in the National Capital Region to 76.0 percent in rural BARMM.

These findings have significant implications for the motivation and design of social protection systems in the country. Social protection must evolve from reactive poverty relief to a broader and proactive focus on resilience building. Differentiated interventions must be based on needs of specific segments: insurance and income stabilization mechanisms for the vulnerable majority who experience income volatility, and poverty reduction programs targeted for the low-income vulnerable. Infrastructure development, education, sectoral transition from agriculture to the highly productive sectors in services, industry and manufacturing, as well as climate risk management emerge as critical protective factors. Achieving the 2040 vision requires bold policy reforms that expand social protection to universal coverage aligned with upper middle-income country standards, strengthen household resilience, and address the structural factors that perpetuate vulnerability across sectors.

Keywords: poverty reduction, poverty alleviation, social protection, middle-income class, middle-class, inclusive growth, vulnerability to poverty, poverty, Philippines

Abbreviations

CPH	Census of Population and Housing
FIES	Family Income and Expenditure Survey
LFS	Labor Force Survey
PAGASA	Philippine Atmospheric, Geophysical and Astronomical Services Administration
PSA	Philippine Statistics Authority

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The Middle Class and Vulnerability to Income Poverty: Implications for Social Protection in the Philippines

***Deanne Lorraine D. Cabalfin, Jose Ramon G. Albert and
Mohammad A. Mahmoud¹***

1. Introduction

The aspiration of the Philippines to become a predominantly middle-class society by 2040 is one of the most ambitious socioeconomic goals in its development agenda. This vision embodies not merely an economic target but a fundamental transformation toward a more equitable society where prosperity is shared broadly across the population. The country is poised to become an upper middle-income economy in the next few years and aims to reach high-income status by 2045, with improved quality of life and better access to services for all citizens. This foremost attention to economic development that brings about poverty reduction is reflected in the *Ambisyon Natin 2040* vision (NEDA 2016), as well as in the Philippine Development Plan. The middle-income class serves as the backbone of sustainable economic growth, providing the consumer demand necessary to drive domestic markets while contributing to social stability and better democratic governance.

While the pace of progress in poverty reduction over the past decade has been steady, the more important question concerns its equity aspect: how pro-poor the economic development has been. For growth to translate equitably to poverty reduction, the middle-income class must continue to expand and gain an increasingly important representation. The increasing importance of the middle-income class does not mean that policies and programs to expand or empower it are incompatible with those that focus on poverty reduction and alleviation. As the Philippines advances towards upper-middle income status, it is increasingly important to address the factors that make households vulnerable to poverty, as well as provide adequate social protection in terms of education, health and in the labor market. Equitable policies that seek to expand as well as empower the middle-income class also actually help uplift the poor segment of society. For instance, pursuing macroeconomic stability and investing in long-term human capital such as education and health benefits everyone. Promoting policies that increase the labor productivity of workers and upgrade their skills, as well as connect them to markets and employment opportunities also benefit the majority.

The coronavirus (COVID-19) pandemic has altered the trajectory of middle-class development in the Philippines, revealing both the resilience and vulnerability of households that had recently achieved middle-income status (Albert et al. 2024). The economic disruptions brought about by the pandemic exposed the fragility of middle-class gains, with many households experiencing downward mobility despite previous progress. This study examines the evolving dynamics of the middle-income class in the Philippines, with particular attention given to discussion on household vulnerability to income poverty in the context of the COVID-19 pandemic.

Understanding the middle-class is crucial for several reasons. First, a ‘middle-class consensus’² determines development success and is associated with better outcomes: higher income, faster growth, more investment in human capital such as education and health, infrastructure accumulation, better

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² Easterly (2000) defines ‘middle-class consensus’ as a high share of income for the middle-class and a low degree of ethnic divisions.

economic policies, greater political stability, peace and more democracy (Easterly 2001). Birdsall (2010) argued that middle-class expansion signals underlying economic progress based on wealth creation rather than redistribution. Second, the middle-class represents a segment of society that bridges the gap between the poor and the wealthy, serving as a stabilizing force in economic and political systems. A large prospering middle-class fosters accountable governance by advocating for political stability that promotes fair competition, supports pro-market reforms, protects private property, encourages private investments, and contributes to taxes that finance public goods (Birdsall 2016; Birdsall 2010; Birdsall, Graham and Pettinato 2000). In Asia, the growth of the middle-class has been associated with rising concern for welfare and environmental preservation as well as demands for participatory democracy and personal freedoms (Hughes and Woldekidan 1994). More importantly, some middle-class households face vulnerability of falling into poverty brought about by shocks or aggregate economic contractions (Lopez-Calva and Ortiz-Juarez 2011; Ravallion 2009). In Latin America, non-poor vulnerable households have limited financial buffers, with the social protection benefits they receive being offset by indirect taxes they face (Birdsall, Lustig and Meyer 2014). In the same vein, Stampini et al (2016) find that in Latin America the middle-class remains exposed to a substantial risk to poverty, underscoring the relevance of social safety nets for many non-poor households. This vulnerability has important implications for the social contract: the state must earn and maintain the trust of the middle-class through effective public services and adequate social protection.

The Philippines presents a unique case as it pursues upper-middle income status already attained by neighboring Southeast Asian economies such as Malaysia, Thailand and recently Indonesia. Its archipelagic geography creates diverse regional economies with uneven development. Economic concentration in the National Capital Region, adjacent regions and established centers has created stark disparities in income and opportunities. Moreover, vulnerability to natural disasters in particular typhoons and floods worsened by climate change threatens household welfare and economic stability.

In the recent study of the PIDS concerning the middle-class, Albert et al (2024) suggests that growing the middle-class is more closely related to new wealth creation rather than typically associated themes such as poverty reduction or redistribution. Albert et al. (2024) proposed expanding the Philippine middle-class as a driver of inclusive growth through four pillars: promoting social justice in resource management, enabling MSME opportunities, ensuring workforce readiness with social protection, and improving digital governance. The middle-income class grew from less than a third of the population in 1991 to around forty percent in 2021. This growth has not been linear, with the impact of the COVID-19 pandemic reversing some gains made in poverty reduction in the recent years. Albert et al (2024) argue that transforming the Philippines into a middle-class society necessitates comprehensive initiatives on priority areas, and success depends on effective leadership and cooperation involving government, private sector, civil society organizations and development stakeholders.

Addressing poverty goes beyond identifying the poor, who are the households with inadequate income appropriate to an acceptable living standard. While the traditional measures of poverty are important statistics, these are static and does not characterize much about a household's economic security nor vulnerability of falling back to poverty in the presence of non-trivial risks. As these poverty measures begin to improve or reduce further towards the path to upper-middle income domain, responsive policymaking would need to adapt to characterize as well as anticipate measuring the resilience of households against risks that threaten their economic security. Environmental risks such as climate impacts of frequent floodings brought about by unpredictable weather due to climate change as well as heat waves or hotter temperatures are increasingly becoming more frequent, and these

episodes affects most Filipino families regardless of income levels. External risks such as new developments in the international trading systems such as the rise of protectionist stance among major economies which affect trade and investments has impact on the businesses and employment domestically. In the presence of these risks, government policy must adapt to protect and strengthen the security and resilience of households. An important avenue by which to protect the resilience of households is by an effective social protection system.

In this paper we provide an updated profile and characterization of the middle-income class in the Philippines and examine implications for social protection as the country transitions into a predominantly middle-income society. Using Philippine household income and expenditure survey and labor force survey from 2018, 2021 and 2023, we analyze the size, characteristics and economic vulnerability of different income classifications and regional groups, identify factors that contribute to downward mobility risks, as well as protective factors that build household resilience. We find that while the middle-income class has indeed expanded and recovered after the pandemic, many households remain vulnerable yet lack adequate social protection access. These findings have important implications to the motivation and design of inclusive social protection systems that support sustained middle-income class development.

2. Aggregate Poverty Profile and Regional Growth

In the recent two decades poverty incidence in the Philippines declined from 24.9 percent in 2003 to 15.5 percent in 2023, a 9.4 percentage point reduction representing long-term poverty reduction (Table 1). All the three indices of poverty, from the head count, poverty gap and distribution-sensitive measure show consistent improvement during the two decades. The sharpest decline in poverty occurred pre-pandemic from the years 2015 to 2018, where poverty dropped dramatically from 23.5 percent in 2015 to 16.7 percent in 2018, which is a 6.8 percent point reduction in three years, the largest single-period decline within the two decades and represents the Philippines's strongest poverty reduction performance. A sudden reversal of the post-pandemic trend and increase of poverty head count from 16.7 percent in 2018 to 18.1 percent in 2021 erased the recent gains from 2015 to 2018, materializing the risk to downward mobility due to aggregate shocks brought about by the COVID-19 pandemic. Recovery after the pandemic where poverty head count fell to 15.5 percent in 2023 below the pre-pandemic level suggests resilience but also raises questions about which households, groups and regions genuinely recovered and those who remained vulnerable. Within the two decades, the poverty gap³ (or the *minimum* cost of eliminating poverty⁴) declined faster in relative terms than the head count, from 5.6 percent in 2003 to 2.2 percent in 2023, while the distribution-sensitive measure dropped the most dramatically, from 2.2 percent to 0.7 percent. This implies that extreme poverty is declining faster than overall poverty.

³ The poverty gap is measured as the mean income shortfall over the whole population, while the distribution-sensitive measure (or commonly referred to as the squared poverty gap or severity of poverty) is a measure that gives extra weight to the poorest, those furthest below the poverty line.

⁴ The poverty gap represents the minimum cost of eradicating poverty, which is the income shortfall of all poor households. It does not yet include the administrative cost of poverty reduction programs, as well as the efficiency and equity loss from targeting error.

Table 1. Poverty Indices, 2003-2023 (In percent)

Year	FIES Estimates		
	Head count	Poverty gap	Distribution-sensitive measure
2003	24.9	5.6	2.2
2006	26.6	5.7	2.2
2009	26.3	5.4	2.0
2012	25.2	5.1	1.9
2015	23.5	4.5	1.7
2018	16.7	2.6	0.9
2021	18.1	3.0	1.0
2023	15.5	2.2	0.7
Urban			
2018	9.1	1.3	0.4
2021	11.2	1.7	0.5
2023	10.3	1.4	0.4
Rural			
2018	24.1	4.0	1.3
2021	25.0	4.4	1.5
2023	22.1	3.3	1.1

Source: Poverty indices are authors' calculations using the *Family Income and Expenditure Survey* (FIES) microdata from Philippine Statistics Authority (2018-2023), and official poverty statistics releases from National Statistical Coordination Board (2003-2015).

Perhaps what is concerning and deserves highlight is the persistent disparity of poverty outcomes between urban and rural areas. In 2023, rural poverty, 22.1 percent remained more than double urban poverty, 10.3 percent. During the pandemic, urban poverty rose more sharply by 2.1 percentage points to 11.2 percent in 2021 from 9.1 percent in 2018, while rural poverty increased by a slower 0.9 percentage points to 25.0 percent in 2021 from 24.1 in 2018. Despite this, the gap between urban-rural poverty head counts narrowed from 15.0 percentage points in 2018 to 11.8 percentage points in 2023.

Despite the persistent disparity of poverty between urban and rural areas, we see a shifting composition of their share to total poverty. While poverty remains disproportionately concentrated in rural areas, contributing 64 percent to 67 percent of total poverty despite constituting only 45.7 percent of the population in 2023 (Table 2), the rural share has consistently declined. Urban contribution to total poverty increased significantly from 28.4 percent in 2018 to 35.6 percent in 2023 (head count), while rural contribution decreased from 71.6 percent to 64.4 percent, representing a 7.2 percentage point shift toward urban poverty. This shift is relatively big despite an increase of only 3.0 percentage point of the urban population share from 2018 to 2023. The COVID-19 pandemic accelerated this trend, with the urban share jumping from 28.4 percent in 2018 to 32.5 percent in 2021 and continuing to rise post-pandemic in 2023. The same pattern holds for the indices for depth and severity, which suggests that the urban poor is not only increasing in number but also in depth of poverty. The rise of the share of the urban sector to poverty warrants further investigation.

Table 2. Contribution of Sector to Total Poverty (In percent)

Year	Population Share	Contribution to Total Poverty		
		Head count	Poverty gap	Distribution-sensitive measure
Urban				
2018	51.3	28.4	26.7	26.5
2021	51.6	32.5	29.4	28.1
2023	54.3	35.6	33.7	32.6
Rural				
2018	48.7	71.6	73.3	73.5
2021	48.4	67.5	70.6	71.9
2023	45.7	64.4	66.3	67.4

Source: Authors' calculations using the FIES microdata from PSA (2018-2023).

Regional disparities in poverty are stark. In 2023, the National Capital Region accounted for 12.6 percent of the population but contributed only 1.8 percent of the poor (Table 3). Established centers such as NCR, CALABARZON, Central Luzon and Cordillera Administrative Region all registered poverty head count rates below 10 percent. NCR's head count poverty is the lowest (1.8 percent in 2023); it also has the lowest poverty gap among the regions. The highest incidence of poverty is found in BARMM (32.4 percent), Western Mindanao (31.7 percent), Negros Island Region (28.9 percent) and Bicol Region (27.5 percent). Regions that contribute disproportionately to poverty depth and severity relative to their population share are: Negros Island, which accounts for 10.5 percent of the total poverty deficits of the population despite comprising only 4.2 percent of the population; Bicol Region, which contributes 9.4 percent versus a population share of 5.6 percent; Eastern Visayas, which contributes 8.5 percent versus a population share of 4.4 percent; and Western Mindanao, which contributes 8.4 percent versus a population share of 3.4 percent. By island group, poverty is concentrated in Mindanao and Visayas.

Mindanao contributes 37.7 percent of the total poor despite comprising only 23.9 percent of the population, while Visayas contributes 26.0 percent versus 18.8 percent of the population. In contrast, Luzon contributes 36.4 percent of total poverty while representing 57.2 percent of the population. These spatial patterns reflect persistent disadvantages in regions distant from economic centers, particularly island regions, those with limited infrastructure development and connectivity, and conflict-affected regions, which have been excluded from the benefits of national growth.

Table 3. Poverty Profile by Region, 2023 (In percent)

Region	Pop'n. share	Head count	Poverty gap	Severity	Contribution to Total Poverty		
					Head count	Poverty gap	Severity
Total	100.0	15.5	2.2	0.7	100.0	100.0	100.0
NCR	12.6	1.8	0.1	-	1.5	0.8	0.6
CAR	1.6	7.0	0.7	0.2	0.7	0.6	0.5
Ilocos Region	4.8	11.9	1.6	0.5	3.8	3.3	3.0
Cagayan Valley	3.3	10.4	1.2	0.3	2.2	1.8	1.5
Central Luzon	11.4	8.2	1.0	0.3	6.0	4.8	4.3
CALABARZON	15.0	7.9	0.9	0.2	7.7	6.2	5.4
MIMAROPA	2.9	23.0	3.6	1.3	4.4	4.8	5.5
Bicol Region	5.6	27.5	4.2	1.3	10.1	9.4	9.0
Western Visayas	4.3	13.7	1.8	0.5	3.8	3.4	3.0
Negros Island	4.2	28.9	5.5	1.9	7.8	10.5	11.3
Central Visayas	5.9	17.3	2.5	0.8	6.6	6.9	7.0
Eastern Visayas	4.4	27.3	4.4	1.4	7.8	8.5	8.5
Western Mindanao	3.4	31.7	5.8	2.0	6.8	8.4	9.3
Northern Mindanao	4.6	25.3	3.9	1.2	7.4	7.8	7.7
Southern Mindanao	4.9	16.0	2.4	0.8	5.1	5.7	6.2
SOCCSKSARGEN	4.1	23.1	4.0	1.4	6.0	7.3	7.9
Caraga	2.5	20.8	3.0	0.9	3.3	3.4	3.3
BARMM	4.4	32.4	4.7	1.4	9.1	6.4	6.0

Source: Authors' calculations using the FIES microdata from PSA (2023).

Has growth been pro-poor lately? Growth elasticity of poverty in the Philippines has changed considerably over time. Earlier estimates show relatively weak pro-poor growth: Balisacan and Fuwa (2004) estimated an elasticity of 1.6 from 1988 to 1997, which appears weak in comparison to an international standard of 2.5 based on Ravallion's (2001) sample of developing countries in the 1980s and 1990s. Reyes and Tabuga (2011) found similarly inelastic responses for 2003 to 2009. Poverty reduction has become more responsive to economic growth after the global financial crisis in 2009. In the recent country report, World Bank (2025) attributed the pro-poor growth post-2010 to faster growth of real incomes of the bottom 40 percent compared to those from the wealthiest 20 percent, while also driven by a shift to wage jobs in services from self-employment in agriculture, creation of formal jobs, as well as social protection. The Bank also found spatial convergence post-2010, wherein low- and medium-income regions drove the economic growth.

Table 4. Poverty head count and Real gross domestic product per capita, 2003-2023

	2003	2006	2009	2012	2015	2018	2021	2023
Poverty head count	24.9	26.6	26.3	25.2	23.5	16.7	18.1	15.5
Gross domestic product per capita (constant 2018 prices)	95,779	106,478	113,796	129,007	148,670	172,712	168,421	188,061

Source: PSA

Table 5. Growth Elasticity of Poverty

	2003-2006	2006-2009	2009-2012	2012-2015	2015-2018	2018-2021	2021-2023
Poverty head count (%)	6.8	-1.1	-4.2	-6.7	-28.9	8.4	-14.4
Gross domestic product per capita (%)	11.2	6.9	13.4	15.2	16.2	-2.5	11.7
Growth elasticity of poverty (%)	0.6	-0.2	-0.3	-0.4	-1.8	-3.4	-1.2

Source: Authors' calculations from PSA data.

Table 6 illustrates the average annual growth rates of per capita regional gross domestic product from 2015 to 2023. The regions which exhibited the fastest growth rates pre-pandemic from 2015 to 2019 are the peripheral regions: Bicol, 6.4 percent; Eastern Visayas, 5.8 percent; Davao, 6.3 percent and Western Visayas, 5.5 percent; while the economic centers relatively posted lower growth rates: NCR, 4.8 percent and CALABARZON, 4.2 percent. The regions that posted the worst contractions during the COVID-19 pandemic from 2019 to 2021 are also the economic centers: Central Luzon, -4.8 percent; NCR, -4.0 percent; CALABARZON, -3.3 percent and Central Visayas, -3.3 percent, while Mindanao regions relatively showed lesser contraction. We also see that the regions that exhibited the fastest post-pandemic growth rates are the peripheral regions: Western Visayas,⁵ 7.5 percent; CAR, 7.0 percent; Ilocos, 6.6 percent; Central Visayas, 6.3 percent and Cagayan Valley, 6.2 percent, while relatively weaker growth include the economic centers NCR, 5.0 percent; CALABARZON, 4.7 percent and regions in Mindanao: Northern Mindanao, 5.1 percent; SOCCSKSARGEN, 3.9 percent and BARMM, 3.4 percent.

⁵ Western Visayas includes Negros islands in this statistic.

Table 6. Per capita regional gross domestic product, average annual growth rates, 2015-2023

Region	Per capita regional gross domestic product, average annual growth rates (in percent)		
	2015-2019	2019-2021	2021-2023
Total	4.9	-3.3	5.3
NCR	4.8	-4.0	5.0
CAR	4.2	-2.2	7.0
Ilocos Region	5.4	-2.4	6.6
Cagayan Valley	4.4	-3.4	6.2
Central Luzon	5.4	-4.8	5.6
CALABARZON	4.2	-3.3	4.7
MIMAROPA	4.3	-3.3	4.4
Bicol Region	6.4	-3.0	5.4
Western Visayas	5.5	-2.8	7.5
Central Visayas	5.1	-3.3	6.3
Eastern Visayas	5.8	-2.0	5.3
Western Mindanao	4.7	-0.5	5.4
Northern Mindanao	4.9	-0.8	5.1
Southern Mindanao	6.3	-2.3	5.9
SOCCKSARGEN	3.5	-1.0	3.9
Caraga	4.6	-1.0	4.4
BARMM	3.3	0.8	3.4

Source: Authors' calculations from PSA data.

The Philippines has made progress in eradicating extreme poverty (defined at \$3.0 a day in 2021 PPP), decreasing to 5.3 percent in 2023 from 24.3 percent in 2003 (Table 7). Despite this, it still trails behind Malaysia and Thailand which both achieved zero extreme poverty, and Viet Nam, 1.6 percent in 2022. When we use the poverty threshold for lower middle-income countries (at \$4.20 a day), the Philippines' poverty rate stands at 16.9 percent in 2023, comparable to Indonesia's 21.9 percent, but significantly higher than Malaysia (0.1 percent in 2021), Thailand (0.1 percent in 2023), and Viet Nam (4.2 percent in 2022).

Despite progress in extreme poverty eradication, the Philippines has a considerable share of its population who remain vulnerable, considered poor, at 58.7 percent, if assessed at upper-middle income country standards in which the poverty threshold is \$8.30 a day. At this threshold, Malaysia has essentially eliminated poverty (2.9 percent in 2021), with Thailand maintaining a single-digit rate (9.9 percent in 2023), but with relatively higher poverty rates for Viet Nam at 21.5 percent in 2022, and Indonesia at 69.6 percent in 2023.

Malaysia and Thailand have essentially eliminated poverty at all levels and successfully built a broad middle-class in this aspect. Viet Nam exhibited rapid progress in extreme poverty reduction while building a middle-class, and though a portion of its population remain vulnerable, this is substantially

lower than the Philippines. In contrast, while the Philippines and Indonesia have successfully reduced extreme poverty, a sizeable portion of their populations remain vulnerable and poor in terms of upper-middle income standards.

Table 7. Poverty head count in select Southeast Asian countries

Poverty head count ratio at \$ a day, 2021 purchasing power parity (% of population)								
Country	Year	\$3.00	\$4.20	\$8.30	Year	\$3.00	\$4.20	\$8.30
Philippines	2003	24.3	41.0	73.0	2023	5.3	16.9	58.7
Malaysia	2003	3.2	8.4	30.4	2021	0.0	0.1	2.9
Thailand	2004	3.1	11.9	46.7	2023	0.0	0.1	9.9
Indonesia	2003	45.5	71.3	95.4	2023	6.7	21.9	69.6
Viet Nam	2004	30.9	53.4	85.4	2022	1.6	4.2	21.5

Source: World Development Indicators, World Bank

3. Profile of the Middle-Income Class

The ‘middle-class’ is widely discussed in the social sciences and has different definitions across disciplines. We can either define the middle-class as those households with per capita income within an absolute threshold valued at purchasing power parity, or use a relative measure based on the income distribution in a country. An earlier work of Thurow (1987) and subsequently Birdsall, Graham and Pettinato (2000) defines the middle-class as those earning between 75 percent to 125 percent of the median household per capita income, while Easterly (2001) defines the middle-class as those within the expenditure quintiles two to four. Milanovic and Yitzhaki (2002) defined the global middle-class as those earning a per capita income of \$12 to \$50 per day. Banerjee and Duflo (2008) used daily per capita expenditures between \$2 to \$10 valued at purchasing power parity, while Ravallion (2010) ranged between \$2 to \$13. The Asian Development Bank (2010) adopted a broader range of \$2 to \$20 per capita daily expenditure valued in 2005 PPP \$.

For the purpose of this paper, we adopt Albert et al.’s (2018a; 2018b) poverty-line based approach defining the middle-income households in the Philippines as those with per capita income between two and twelve times the official poverty line. In the Philippines, the measure of welfare or living standards is per capita current income rather than consumption. The poverty line is defined as the minimum income deemed necessary for a household to meet basic needs, food and non-food, and most importantly to obtain adequate nutrition. This approach ensures the classification is consistent with official poverty statistics and policy-relevant, in particular compatible with existing social protection measures.

Table 8 presents the distribution of Filipino households by income and reveals the materialization of downward mobility risk during the COVID-19 pandemic. Subsistence poverty dropped from 3.4 percent in 2018 to 2.7 percent in 2023 nationally. Even during the COVID-19 spike in 2021, subsistence poverty was only at 3.9 percent.

The middle-income class is growing but remains vulnerable. The pandemic induced downward mobility, with middle- to high-income households dropping from 52.8 percent in 2018 to 49.1 percent in 2021 but recovered to 51.3 percent by 2023. While poverty declined to 10.9 percent among

households in 2023 (subsistence poor at 2.7 percent, poor but not in subsistence at 8.2 percent), the low-income but not poor representing vulnerable households living just above the poverty line, grew from 35.1 percent in 2018 to 37.8 percent in 2023, encompassing 10.4 million households. Despite the middle- to high-income household recovery from 49.1 percent in 2021 to 51.3 percent in 2023, the low-income but not poor remain sizeable at 37.8 percent of total households. This suggests that many households that fell during the COVID-19 pandemic have not fully recovered and remain vulnerable despite being out of poverty.

While urban areas remain dominated by middle-income households (60.1 percent middle-to-high income), urban experienced a 4.5 percentage point shift toward lower-income categories from 2018 to 2023. In contrast, rural areas show a more even distribution with 43.8 percent in the low-income but not poor category, and 40.5 percent in middle- to high-income. While the national poverty rate is falling, household vulnerability seems to be rising with nearly half of Filipino households (48.7 percent) either poor or low-income.

Table 8. Distribution of Filipino households by income groups, in thousands (and percentage), 2018-2023

Poverty Status		National			Urban			Rural		
		2018	2021	2023	2018	2021	2023	2018	2021	2023
Poor	Subsistence poor	839 (3.4)	1,033 (3.9)	742 (2.7)	214 (1.7)	285 (2.1)	235 (1.5)	625 (5.3)	748 (6.0)	507 (4.1)
	Poor but not in subsistence	2,165 (8.8)	2,449 (9.3)	2,250 (8.2)	626 (4.9)	823 (5.9)	828 (5.4)	1,539 (13.0)	1,626 (13.0)	1,422 (11.6)
Non-Poor	Low income but not poor	8,679 (35.1)	9,966 (37.8)	10,381 (37.8)	3,733 (28.9)	4,614 (33.2)	5,015 (33.0)	4,946 (41.8)	5,353 (42.9)	5,366 (43.8)
	Middle- to high-income	13,063 (52.8)	12,949 (49.1)	14,106 (51.3)	8,338 (64.6)	8,185 (58.9)	9,144 (60.1)	4,725 (39.9)	4,764 (38.1)	4,962 (40.5)
Total		24,747	26,397	27,479	12,912	13,906	15,222	11,835	12,491	12,257

Source: Authors' calculations using FIES microdata from PSA.

Illustrated in Table 9 is the distribution of Filipino households by income classes, defined as multiples of the poverty line. In 2023, the low-income group, consisting of the poor and low-income (but not poor), those earning up to two times the poverty line, comprised 48.7 percent of households and 57.6 percent of the population. The middle-income group is further subdivided into three, and are earning between two to twelve times the poverty line. Lower middle-income households, earning two to four times the poverty line, comprise 33.3 percent of all households and 29.4 percent of total population, while the middle- and upper-middle income, earning four to twelve times the poverty line, comprise 16.4 percent of households and 11.9 percent of population. The high-income group, consisting of upper-income and rich which are the households earning at least twelve times the poverty line, comprised 1.6 percent of households and 0.9 percent of the population. The two largest classes are the low-income but not poor (42.1 percent of population) and the lower middle-income (29.4 percent).

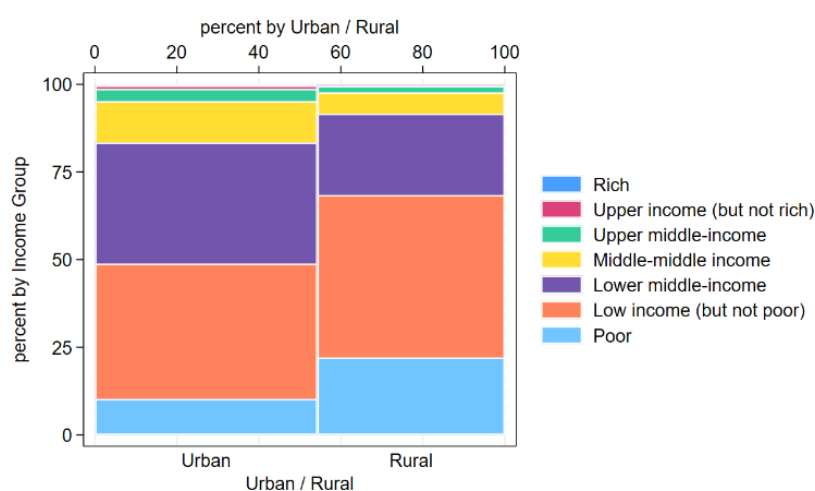
Table 9. *Incomes classes, 2023*

Income class	Definition: per capita income	Monthly family income (in Php)	Estimated size in thousands	
			Households (%)	Population (%)
Poor	Less than poverty line	Less than 13,873	2,992 (10.9)	17,666 (15.5)
Low-income	Between one to two times the poverty line	13,873 – 27,746	10,381 (37.8)	47,578 (42.1)
Lower middle-income	Two to four times	27,746 – 55,492	9,158 (33.3)	33,183 (29.4)
Middle middle-income	Four to seven times	55,492 – 97,111	3,416 (12.4)	10,353 (9.2)
Upper middle-income	Seven to twelve times	97,111 – 166,476	1,105 (4.0)	3,052 (2.7)
Upper-income	Twelve to twenty times	166,476 – 277,460	315 (1.2)	800 (0.7)
Rich	At least twenty times	At least 277,460	112 (0.4)	261 (0.2)
Total			27,479 (100.0)	112,893 (100.0)

Source: Authors' calculations using FIES 2023 microdata from PSA. Income ranges are for families of 5 members at 2023 prices, based on Albert et al. (2018a; 2018b).

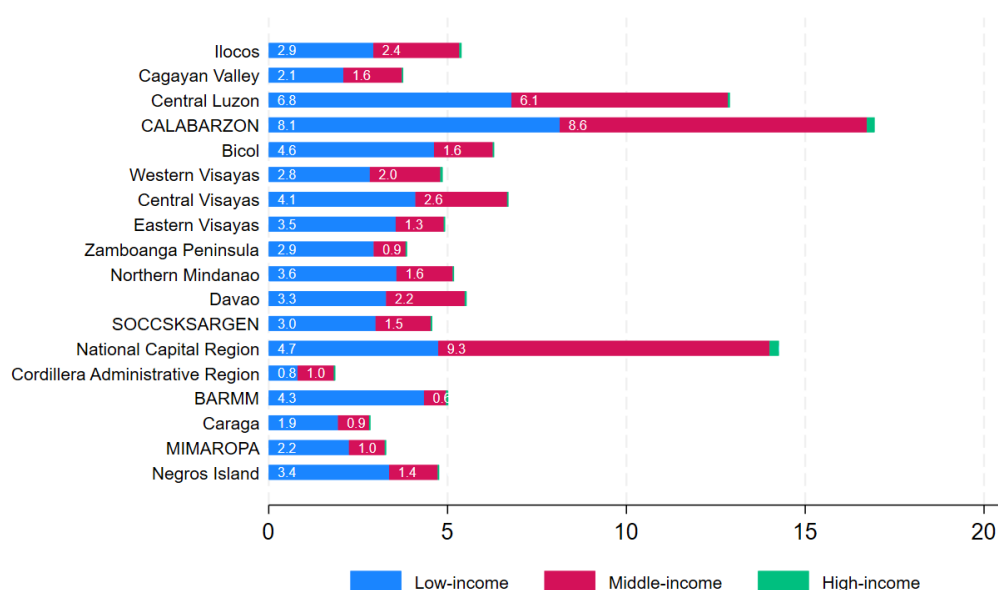
Figure 1 shows the urban-rural distribution of the income groups in 2023, highlighting the urban-rural divide. Rural areas show higher concentrations of low-income households, while urban areas are dominated by middle-income households. Figure 2 illustrates the population distribution of income groups among the regions. Three regions stand out as middle-income: National Capital Region (65.0 percent), Cordillera Administrative Region (55.2 percent) and CALABARZON (50.7 percent). These regions benefit from economic concentration, a large services sector and industrial areas that offer formal employment, and better infrastructure and connectivity.

Figure 1. *Income classes by Urban, Rural, 2023*



Source: Authors' calculations using the FIES microdata from PSA (2023).

Figure 2. Income groups by Regions, 2023



Source: Authors' calculations using the FIES microdata from PSA (2023).

Wage constitutes half of total household income for all groups in 2023 (49 percent to 54 percent) (Table 10). Low-income households rely more on domestic remittances and transfers (nearly 10 percent) as well as entrepreneurial income (about 22 percent). Middle-income and high-income households have higher shares of overseas remittances (9 percent to 11 percent) as well as investment incomes (3 percent to 7 percent), while income from entrepreneurial activities are around 16 percent to 17 percent.

Table 10. Income sources of households by income groups, 2023

Income Sources (in percent)	Low-income	Middle-income	High-income
Wages	50.0	53.8	48.8
Foreign remittances	3.8	9.2	11.4
Domestic remittances, income transfers	9.5	4.8	1.8
Interest, dividends from investments, pension	0.9	3.1	7.2
Income from entrepreneurial activities	21.6	15.6	16.8
Other income	14.2	13.5	14.0
Total	100.0	100.0	100.0

Source: Authors' calculations using the FIES microdata from PSA (2023).

Poor and low-income Filipino households face financial precarity, with food, housing and utilities comprising 72.6 percent of their expenditures on average (Table 11). Middle-income households have higher rates of expenditures for education and health (5.7 percent of expenditures) compared to low-income households (4.1 percent). Low average savings rates among the poor and low-income leave them vulnerable to economic shocks. Middle-income families retain more of their incomes each month after paying for all expenditures, providing some financial cushion against emergencies, especially for health. One-quarter of the poor, low-income and lower middle-income groups have average savings rates at or below 11.3 percent (Table 12). One-quarter of the poor has an average savings rate of 1.8 percent. This is concerning because around 71 percent of Filipino families belong in the low-income and lower-middle income groups. This leaves a significant proportion of Filipinos vulnerable to economic shocks.

Table 11. Distribution of household expenditures by income groups, 2023

Household Expenditures Share (in percent)	Low-income	Middle-income	High-income
Food	52.4	40.4	22.3
Housing, Water, Electricity	20.2	24.8	28.2
Transportation	5.9	6.7	7.6
Communication	2.3	3.6	3.6
Health	1.8	3.0	4.4
Education	2.3	2.7	3.2
Other Expenditures	15.1	18.9	30.8
Total	100.0	100.0	100.0

Source: Authors' calculations using the FIES microdata from PSA (2023).

Table 12. Average savings rate by household income groups, 2023

Household Expenditures Share (in percent)	25 th Percentile	50 th Percentile	75 th Percentile
Poor	1.8	9.6	19.9
Low-income but not poor	5.8	15.3	27.1
Lower middle-income	11.3	22.7	35.2
Middle middle-income	17.4	29.9	42.4
Upper middle-income	21.6	35.3	47.9
Upper income	25.0	41.2	54.0
Rich	35.7	50.8	63.4

Source: Authors' calculations using the FIES microdata from PSA (2023).

Eighty-two (82) percent of workers aged 15 to 64 years old from middle-income families have permanent jobs (Table 13). Twenty-nine (29) percent of workers among low-income families are employed in short-term occupations, while 67.3 percent have permanent jobs. This says about their vulnerability from lack of job security or certainty of income receipts. Workers from high-income families have better employment security with majority having permanent jobs. Formal and permanent employment is an important middle-class attribute.

Around half of the workers are employed by private establishments, across all the three income groups. A considerable proportion of workers belonging to low-income households are self-employed (28.0 percent), compared to 19.7 percent among middle-income, and 8.7 percent among high-income. A higher proportion among workers from the low-income are employed without pay in family-owned endeavors (6.2 percent), compared to 2.8 percent and 3.0 percent for workers in middle-income and high-income households.

Table 13. Employment security of workers aged 15 to 64, by income groups, 2023

Employment (in percent)	Low-income	Middle-income	High-income
Permanent job	67.3	82.3	93.1
Short-term	29.0	16.1	6.7
Different employer	3.6	1.6	0.2
Total	100.0	100.0	100.0

Source: Authors' calculations using the FIES microdata from PSA (2023).

Table 14. Class of workers aged 15 to 64, by income groups, 2023

Primary Occupation (in percent)	Low-income	Middle-income	High-income
Private household	5.2	3.5	9.3
Private establishment	53.3	57.8	42.8
Government	5.1	13.3	26.3
Self-employed	28.0	19.7	8.7
Employer	2.1	2.5	8.2
Family-owned, with pay	0.2	0.3	1.6
Family-owned, without pay	6.2	2.8	3.0
Total	100.0	100.0	100.0

Source: Authors' calculations using the FIES microdata from PSA (2023).

Table 15 shows the distribution of income groups by the sector of employment of the household head. Low-income households are heavily concentrated in agriculture, with 36.5 percent of households with heads employed in agriculture in 2023. The services sector dominates the middle-income (64.5 percent) and high-income groups (84.1 percent). This table suggests that increasing sectoral productivity in agriculture and industry as well as transitioning workers to higher value jobs in services are pathways for income mobility.

Table 15. Employment sector of household head, by income groups, 2023

Sector of Employment of Head (in percent)	Low-income	Middle-income	High-income
Agriculture	36.5	15.6	4.4
Industry excluding Manufacturing	15.9	11.5	5.6
Manufacturing	6.7	8.4	5.9
Services	40.8	64.5	84.1
Total	100.0	100.0	100.0

Source: Authors' calculations using the FIES microdata from PSA (2023).

High-income households are largely headed by college graduates (63.8 percent) (Table 16). Middle-income households are majority composed of college graduates (23.1 percent), college undergraduates (11.5 percent) and high school graduates (31.6 percent). Low-income household heads have lower educational attainment, with majority finishing high school (29.9 percent) and high school undergraduates (15.2 percent).

Table 16. Educational attainment household head, by income groups, 2023

Educational Attainment of Head (in percent)	Low-income	Middle-income	High-income
No grade completed	2.5	0.6	0.0
Elementary level	22.7	8.4	0.7
Elementary graduate	18.1	10.8	1.9
High school undergraduate	15.2	8.5	1.4
High school graduate	29.9	31.6	9.9
Post-secondary	2.0	4.4	2.3
College undergraduate	5.5	11.5	8.0
College graduate	4.0	23.1	63.8
Post-graduate	0.0	1.1	12.0
Total	100.0	100.0	100.0

Source: Authors' calculations using the FIES microdata from PSA (2023).

Family size decreases with income (Table 17). Low-income families average 4.7 to 5.0 members, middle-income families 3.4 to 3.7 members, and high-income families 2.7 to 2.8 members. High-income families show the least variation in terms of household size between urban and rural.

Table 17. Average family size, by income groups, 2023

Average Family Size	Low-income	Middle-income	High-income
Urban	5.0	3.7	2.7
Rural	4.7	3.4	2.8
National	4.8	3.6	2.7

Source: Authors' calculations using the FIES microdata from PSA (2023).

Household access to electricity is nearly universal, from 94.8 percent for low-income to 100.0 percent for high-income households. However, the household survey does not say about the quality of electricity access, only the presence of electricity in the household. Significant disparities exist in access to safe drinking water, with nearly universal access for high-income and middle-income households, with piped water or water refilling station access, compared to only 74.3 percent for low-income households (Table 18). This raises health concerns as uncertainty of access to clean water is associated with water-borne and communicable diseases, which can be costly in terms of future health expenditures especially for the well-being of infants and children in low-income households.

Table 18. Access to safe drinking water, by income groups, 2023

Water Source (in percent)	Low-income	Middle-income	High-income
Piped water (into dwelling, yard, neighbor)	27.4	29.5	30.0
Water refilling station	46.9	62.3	67.6
Public tap, wells, springs (protected)	21.6	6.9	1.5
Unprotected or limited sources	4.1	1.3	0.8
Total	100.0	100.0	100.0
Presence of Electricity	94.8	99.0	100.00

Source: Authors' calculations using the FIES microdata from PSA (2023).

4. Literature Review

A foundational theoretical paper by Ravallion (1988) distinguished between permanent income from its variable component arising from risk and developed a framework for decomposing poverty into persistent and transient components to understand the poverty cost of income variability in rural India. Morduch (1994) formalized the distinction between chronic or structural poverty and vulnerable or stochastic poverty. Stochastic poverty in low-income countries is when a household's consumption varies a good deal over time and may fall below the poverty line even though its permanent income is above the poverty threshold. This is due to income shocks, insufficient insurance mechanisms and limited access to credit and savings to smooth consumption (Morduch 1994). Many researchers contributed to the literature differentiating chronic from transient poverty for the purposes of clarifying what poverty alleviation programs and social protection are needed by different socioeconomic groups. A study by Jalan and Ravallion (2000) tested the determinants of chronic and transient poverty in rural China, and found that wealth holdings, physical capital and life cycle matters both for chronic and transient poverty, while household size, education level, geographical location and agricultural productivity matters for chronic poverty. The implication of this is that programs appropriate for

reducing poverty does not address transient poverty, which may better be addressed by policy instruments such as those that provide employment and livelihood opportunities like seasonal public work programs, credit schemes, savings, insurance and income stabilization mechanisms.

Understanding vulnerability and risks, in connection to poverty is crucial for several reasons. Dercon (2001) stated that vulnerability and risk is also a cause of destitution and not just another dimension of poverty. Material vulnerability caused by shocks may have long-lasting consequences to the welfare and human capital formation among households, especially the poor. When a household suddenly faces a shock without adequate savings, they may be forced to forego needed health spending or withdraw children from school, or even sell productive assets, which can lead to high welfare costs into their future. In agrarian economies in India, seasonal fluctuations that result to unanticipated income shocks affects uninsured households who tend to sacrifice their children's school attendance as a form of self-insurance, which has costly, long-run implications for the household (Jacoby and Skoufias 1997). Dercon (2005) asserted that risk and vulnerability is an ignored aspect in the design of anti-poverty policies.

Ligon and Schechter (2003) viewed vulnerability as a measure of welfare loss associated with uncertainty to consumption, associated with poverty and exposure to aggregate shocks. In their Bulgarian study, poverty and aggregate shocks reduced welfare equally, with aggregate shocks mattering more than idiosyncratic risks. Calvo and Dercon (2005; 2013) formalized vulnerability measurement through an axiomatic approach that distinguishes between vulnerability (forward-looking threat) from poverty (outcome).

The influential literature earlier cited that elaborated on the links between vulnerability, risks and poverty concentrated empirical testing in agricultural and rural economies in developing country contexts, which are characterized with shocks such as the seasonality of agricultural production, climate, droughts and famine. In the early 2000s, the vulnerability to poverty context was also viewed in the lens of globalization and shocks to domestic economies brought about by increasing internationalization, such as financial crises and structural reforms (Dercon 2001). The current decade saw the advent of the fourth industrial revolution, increasing automation and changes in the world of work, such as the introduction of gig economy and increasing importance of self-employment and informal employment. Also, extreme poverty has fallen dramatically compared to a decade ago, with lower poverty rates now observed in developing economies. Given these recent developments, new areas of research on vulnerability, poverty and emerging sources of risks can be explored to understand better the current dynamics of vulnerability and poverty and to inform design of social protection systems that are appropriate in this new context.

Vulnerability analysis extends beyond monitoring those currently in poverty to encompassing future poverty risks. Dercon (2001) defined vulnerability as the probability of significant welfare losses due to uncertain events. We also differentiate risks according to its effect: *idiosyncratic* if it only affects few individuals or households, and *covariate* if it affects an entire community or region. Dercon (2001) provided a framework for analyzing vulnerability to poverty, emphasizing the importance of household assets, incomes and capabilities as protective factors against vulnerability and poverty. The framework also acknowledges the potential risks associated with assets accumulation, incomes and capabilities. The framework highlights the importance of asset building and accumulation, not just of physical and financial assets, but also human capital in the form of adequate nutrition and health, as well as quality education that empowers households with skills and capabilities to be productive in the labor market.

Box 1. Framework for Analyzing Vulnerability to Poverty (Dercon 2001)

<i>(a) Assets</i>	<i>(b) Incomes</i>	<i>(c) Well-being or capabilities</i>
• Human capital, labor • Physical or financial capital • Commons and public goods • Social capital	• Returns to activities and assets • Returns from asset disposal • Savings, credit and investment • Transfer and remittances	Ability to obtain (<i>inter alia</i>) • Consumption • Nutrition • Health • Education
<i>Examples of risk (a)</i>	<i>Examples of risk (b)</i>	<i>Examples of risk (c)</i>
• Loss of skills due to health or unemployment • Land tenure insecurity, uncertain titles to other assets • Asset damage due to climate, war or disaster • Uncertain access to commons and public goods • Loss in value of financial assets or pension funds linked to inflation, macroeconomic shocks	• Output risks due to climatic shocks, disease, conflict • Output price risk • Covariance in incomes and asset prices • Risk in asset returns from savings and investment (including inflation) • Uncertain access to inputs or cash flow support during production • Imperfect enforcement of contracts, such as payment of goods and services rendered • Uncertainty about enforcement of informal protection • Uncertainty regarding rationing in public support, such as risk of inclusion from safety net • Imperfect information and knowledge about opportunities • Risks in policy environment	• Price risk in food markets • Food availability and rationing risk • Uncertain quality of public provision in health and education • Uncertainty about rationing scheme employed in health or education • Imperfect knowledge about health and nutrition

Source: Dercon (2001)

Chaudhuri and Datt (2001) developed a methodology measuring vulnerability as the probability of a household finding itself income-poor in the next period and applied this in the Philippine context in the years 1997 to 1998. Chaudhuri, Jalan and Suryahadi (2002) used this approach in Indonesia using cross-sectional data, while Chaudhuri (2003) expanded the framework with illustrative examples from the Philippines, Indonesia and rural south and southwestern China (1985-1990). Albert and Ramos (2008) and later Albert and Vizmanos (2018) updated these estimates for the Philippines (2003, 2009 and 2015), finding significant vulnerability across various groups and recommending forward-looking interventions that build the resilience of households to reduce future poverty.

Social protection systems play crucial roles in preventing downward mobility. Social protection programs have been key instruments to reduce the incidence and depth of poverty in developing economies. Barrientos and Hulme (2008) emphasized the importance of social protection not only in

managing globalization risks but also viewing it in a broader focus on basic needs and building lasting capabilities, reflected in the increasing importance of programs and policies that complement cash transfers with basic services, such as education and health, employment guarantees or asset building. In Southeast Asia, Cook and Pincus (2014) stated that common challenges in social protection include economic risks associated with financial globalization, rapid urbanization, high levels of informal employment, rising dependency ratios and highly unequal gender division of labor. Social insurance programs are still concentrated on the formal and public sectors, supplemented in middle-income countries with voluntary, contributory programs for small businesses, farmers and the informal sector (Cook and Pincus 2014).

Despite its importance, some studies also find that social protection policies may crowd out or have negative welfare effects in communities, for instance, beneficiaries withdrawing from informal networks which may harm non-beneficiaries (Dercon 2001). In this way, actions to reduce risk impact or exposure to it, such as savings, access to credit and insurance, temporary safety nets and social protection are needed. Community-based risk sharing among informal networks, friends or social capital are also considered emergency safety nets of people in times of unexpected crisis.

Safety net interventions for individuals facing temporary economic vulnerability can prevent many from becoming persistently impoverished, which would reduce the strain on programs targeting chronic poverty (Balisacan and Fuwa 2004; Barrientos and Hulme 2008). The Philippines' cornerstone social protection program, the Pantawid Pamilyang Pilipino Program (4Ps) primarily target the poorest segments, leaving low income but non-poor, as well as the middle-class households with limited protection against economic shocks, as highlighted during the COVID-19 pandemic.

5. Methodology

We employ the Chaudhuri and Datt (2001) methodology to estimate a household's vulnerability to income poverty by measuring its expected income and the volatility (variance) of its income streams. While this approach ideally uses longitudinal data wherein the same households are observed over a certain period, data limitations restrict us to use the available cross-sectional data from the Family Income and Expenditure Survey (FIES) for the years 2018, 2021 and 2023. Following Chaudhuri (2003), we assume the variation of income is due to observable household and community characteristics as well as stochastic (random) factors⁶, for example, events unique to a household such as disasters or weather shocks, illness, job loss, or significant price fluctuations.

Following Chaudhuri and Datt (2001) we model per capita household income as a function of observable household and community (province and city) characteristics:

$$\ln y_h = X_h\beta + e_h \quad (1)$$

where y_h is per capita income, X_h represents a bundle of observable household characteristics such as household size, urban or rural location, highest education and employment of household head, etc. with community characteristics which includes labor market indicators, infrastructure conditions and provincial rainfall shock, β is a vector of parameters and e_h is a mean-zero disturbance term that

⁶ From Chaudhuri (2001) we assume that each household's idiosyncratic shocks are random and do not persist from year to year. We also rule out aggregate shocks or structural changes in the economy.

captures idiosyncratic factors that contribute to difference income levels for households that are observationally the same.

We allow the variance of the disturbance term e to depend upon observable household attributes and community characteristics parametrically:

$$\sigma_{e,h}^2 = X_h \Theta \quad (2)$$

We estimate β and Θ using a three-step feasible generalized least squares (FGLS) procedure from Amemiya (1977). Using the estimates $\hat{\beta}$ and $\hat{\Theta}$ obtained, the expected log of income is estimated:

$$\hat{E}[\ln y_h | X_h] = X_h \hat{\beta} \quad (3)$$

and the variance of log income:

$$\hat{V}[\ln y_h | X_h] = \hat{\sigma}_{e,h}^2 = X_h \hat{\Theta} \quad (4)$$

for each household h . We assume that income is log-normally distributed to be able to use the prior estimates in forming an estimate of the probability that a household with characteristics X_h will be income-poor, which is our household's vulnerability level. We let $\Phi(\cdot)$ denote the cumulative density function of the standard normal, this estimated probability will be given by:

$$\hat{v}_h = \hat{Pr}(\ln y_h < \ln z | X_h) = \Phi\left(\frac{\ln z - X_h \hat{\beta}}{\sqrt{X_h \hat{\Theta}}}\right) \quad (5)$$

The disturbance term e_h is implicitly thought of as stemming from measurement error or some unobserved factors. We assume in the model that the variance of e_h is the same for all households as with earlier works.

6. Data

We utilize data from the merged Family Income and Expenditure Survey and Labor Force Survey (FIES-LFS) conducted by the Philippine Statistics Authority (PSA) for the years 2018, 2021, and 2023. The merged FIES-LFS datasets provide comprehensive information on household income, expenditures, employment and household attributes and living conditions, making it the primary source for analyzing middle-class dynamics in the Philippines. The FIES is also the survey used for generating poverty and income distribution statistics in the Philippines. The FIES is now conducted every two years. The 2018 FIES sampled 147,717 households from urban and rural areas of each province, while the 2021 round covered 165,029 households, and the 2023 round covered 163,268 households. The basic household income models are estimated using these data.

We supplement the household income models with data on infrastructure conditions of provinces and highly urbanized cities, obtained from the 2020 Census of Population and Housing (CPH) also released by the PSA. The CPH provides the characteristics of the 42,046 barangays in the Philippines. We construct two simple infrastructure indices for each province and highly urbanized city: a communications infrastructure index derived from the percentage of barangays with cellular phone signal, and a water infrastructure index based on the percentage of barangays with community waterworks system. These location-based covariates capture how infrastructure affects household income levels and variance.

In addition to these we also obtained permission to use rainfall data from the Philippine Atmospheric, Geophysical and Astronomical Services Administration (PAGASA) to enrich our household income models by way of including rainfall shocks. The PAGASA collects rainfall data from weather stations spread across the Philippines. We made use of monthly average rainfall data obtained by PAGASA across 48 weather stations from the years 2000 to 2024. We define rainfall shocks, as well as identify each province's nearest weather station using the methodology of Bayudan-Dacuycuy and Baje (2018). A rainfall shock in a province occurs when at least one month in a period shows rainfall exceeding two standard deviations above the 25-year monthly average. The PAGASA rainfall shock data from 2018 to 2023 per weather stations are merged with the 117 provinces including the highly urbanized cities in the FIES dataset. We interact the rainfall shocks with rural location indicator to capture differential effects on rural households.

The use of the merged FIES-LFS from 2018, 2021 and 2023 allows us to examine the vulnerability rates and changes across households before and after the COVID-19 pandemic. This also offers us an opportunity for cross-validation of the results through comparison across the years. We use the FIES-LFS data from 2018, 2021 and 2023 to examine how well do the estimates of vulnerability and hence of predicted poverty track actual poverty rates as in Chaudhuri and Datt (2001). More broadly, we also compare the distribution of vulnerability rates against income poverty rates across major socioeconomic groups.

7. Interpretation of the Vulnerability Estimate

The mean vulnerability level within the group should in the absence of aggregate shocks approximately equal the observed household poverty rate. While the choice of a vulnerability threshold is arbitrary, we follow the method of Chaudhuri and Datt (2001) in categorizing households according to their vulnerability risk. The high vulnerability threshold is 0.50, while the cutoff for vulnerable is the official poverty incidence during the year.

Amongst the vulnerable, we distinguish between the *relatively vulnerable*, those with an estimated vulnerability level greater than the observed incidence of poverty but less than 0.50, and the *highly vulnerable*, those having an estimated vulnerability level greater than 0.50 (Table 16). In this manner we can compare group vulnerability rates side by side with poverty rates.

Table 19. Vulnerability levels and categories, 2018, 2021 and 2023

Vulnerability category	Vulnerability level		
	2018	2021	2023
Highly vulnerable	More than 0.50	More than 0.50	More than 0.50
Relatively vulnerable	0.12 to 0.50	0.13 to 0.50	0.11 to 0.50
Not vulnerable	Below 0.12	Below 0.13	Below 0.11

8. Results and Discussion

8.1 Discussion of Vulnerability: Overall Picture

This exercise of estimating vulnerability reveals to us a much larger at-risk population than observed poverty head count rates alone show. Table 20 illustrates that across the years 2018 to 2023, the national poverty rate among families is around 10.9 percent to 13.2 percent, while the vulnerability rate is 29.0 percent to 32.0 percent, suggesting on average that vulnerability is 2.5 times higher than current poverty. In simple terms many non-poor households still face significant risk of falling into income poverty. The vulnerability estimates support the often-stated claim that the poverty statistics underestimates the proportion of the population that is vulnerable to poverty. Indeed here we find that there are households whose probability of poverty may be high who are nevertheless observed to be non-poor, and conversely, there are those observed poor but assessed as non-vulnerable.

While poverty and vulnerability are closely related, we estimate that around 15.0 percent to 18.0 percent of the poor are not vulnerable, suggesting transitory poverty for this group. However, a significant proportion of non-poor households faces risk, with 21.0 percent to 24.0 percent of the non-poor assessed as vulnerable to falling into poverty. This represents a significant share often missed and overlooked by traditional poverty measures.

As with the previous study by Chaudhuri and Datt (2001) we also find the same observation that the vulnerable group is quite different to the currently observed poor population. We estimate that 2.0 percent to 4.0 percent of the non-vulnerable are observed to be poor, and the bulk (65.0 percent to 69.0 percent) of the vulnerable are non-poor. Of the 30.0 percent vulnerable population nationally in 2023, the relatively vulnerable comprise 24.0 percent while the highly vulnerable make up the remaining 6.0 percent of the population. While both poverty rates and vulnerability rates increased during the COVID-19 pandemic in 2021, partial recovery has been observed by 2023 (household poverty rate 12.1 percent, 2018; 13.2 percent, 2021; 10.9 percent, 2023; vulnerability rate 29.0 percent, 2018; 32.0 percent, 2021; 30.0 percent, 2023).

This has important policy implications: social protection should address and target not just the currently poor (10.9 percent of households) but also aim to increase the financial resilience and capabilities of the vulnerable population in responding to economic shocks. In this sense social protection must increase overall resilience of households instead of just providing temporary relief which is often for transitory poverty.

Table 20. Incidence of poverty and vulnerability, 2018, 2021 and 2023

2023 Sample	All	Non-Poor	Poor	Vulnerable	Non-Vulnerable
Fraction observed poor	0.11	0.00	1.00	0.31	0.02
Vulnerability					
Vulnerability level: mean	0.12	0.09	0.39	0.32	0.03
Fraction vulnerable	0.30	0.23	0.84	1.00	0.00
<i>relatively vulnerable</i>	0.24	0.21	0.52	0.81	0.00
<i>highly vulnerable</i>	0.06	0.02	0.32	0.19	0.00
Fraction not vulnerable	0.70	0.77	0.16	0.00	1.00

2021 Sample	All	Non-Poor	Poor	Vulnerable	Non-Vulnerable
Fraction observed poor	0.13	0.00	1.00	0.34	0.04
Vulnerability					
Vulnerability level: mean	0.14	0.10	0.39	0.36	0.04
Fraction vulnerable	0.32	0.24	0.82	1.00	0.00
<i>relatively vulnerable</i>	0.25	0.21	0.49	0.78	0.00
<i>highly vulnerable</i>	0.07	0.03	0.33	0.22	0.00
Fraction not vulnerable	0.68	0.76	0.18	0.00	1.00

2018 Sample	All	Non-Poor	Poor	Vulnerable	Non-Vulnerable
Fraction observed poor	0.12	0.00	1.00	0.35	0.03
Vulnerability					
Vulnerability level: mean	0.13	0.09	0.43	0.36	0.03
Fraction vulnerable	0.29	0.21	0.85	1.00	0.00
<i>relatively vulnerable</i>	0.22	0.19	0.47	0.76	0.00
<i>highly vulnerable</i>	0.07	0.03	0.38	0.24	0.00
Fraction not vulnerable	0.71	0.79	0.15	0.00	1.00

Source: Authors' calculations from FIES-LFS 2018, 2021 and 2023.

It is important to emphasize that vulnerability is conceptually distinct from observed poverty. While poverty is an ex post outcome measured at a point in time, vulnerability is an ex ante, forward-looking measure of the risk of being poor in the future. As such, vulnerability is not expected to coincide perfectly with observed poverty. The existence of households that are non-poor but vulnerable reflects income fragility and exposure to shocks, while the presence of some poor but non-vulnerable households reflects transitory poverty. This distinction is central to the policy relevance of vulnerability estimates, particularly in contexts where poverty is increasingly dynamic and driven by shocks rather than persistent deprivation.

8.2 Vulnerability and Poverty Profiles

The overall ratio of vulnerability incidence to poverty incidence is 2.75 in 2023 (Table 21). While poverty rates showed gradual decrease, the vulnerability-to-poverty ratio increased from 2.40 in 2018 to 2.75 in 2023, suggesting that there is an increase to households at risk of falling into poverty even as

current poverty rates are decreasing. The vulnerability to poverty ratio differs across categories of households according to urban location, regions, highest education and sector of employment of the household head.

Importantly, the ordering of vulnerability across regions, urban-rural areas, and socioeconomic groups closely mirrors the ordering of observed poverty, which provides an internal validity check on the vulnerability estimates. At the same time, the magnitudes differ systematically, reflecting the forward-looking and risk-based nature of vulnerability as distinct from realized poverty.

Rural areas face more than double the poverty rate of urban areas (16.0 percent of rural households versus 7.0 percent of urban in 2023). Rural vulnerability also remains alarmingly high at 43.0 percent versus 20.0 percent urban areas in 2023. This gap remains relatively consistent across all three years. Among the regions, the National Capital Region has the highest vulnerability to poverty ratio (7.90) when compared to the national average. While, it has the lowest poverty rate (1.1 percent), the vulnerability rate is 9.0 percent. This pattern is not anomalous. Rather, it reflects that while average incomes in the NCR are high and poverty incidence is low, many households remain exposed to labor market volatility, informal and contractual employment, high living costs, and macroeconomic shocks. In such contexts, vulnerability captures economic insecurity rather than deprivation per se, and thus remains policy-relevant even where poverty is low. In other words, a lot of Metro Manila non-poor are at risk of downward mobility, and that poverty may be underestimated even among the relatively middle-income regions.

Across all regions, rural areas consistently face higher vulnerability rates compared to urban areas: Northern and Central Luzon: 29.0 percent vulnerable among rural versus 15.0 percent urban; Southern Luzon 40.0 percent rural versus 22.0 percent urban; Western and Central Visayas 37.0 percent rural versus 25.0 percent urban; Eastern Visayas 53.0 percent rural versus 32.0 percent urban; Mindanao (excluding BARMM) 55.0 percent rural versus 27.0 percent urban; and BARMM 76.0 percent rural versus 55.0 percent urban. It is also worth noting that aside from the high gaps of poverty incidence between rural and urban areas, the same can be said of vulnerability rates.

We find more pronounced differences for the profile of the highly vulnerable (households with greater than 50.0 percent probability of being poor). In 2023, rural Mindanao including BARMM accounts for a quarter of the poor households (25.0 percent), but it accounts for more than a third (35.0 percent) of the highly vulnerable. BARMM also shows extreme vulnerability: 76.0 percent of rural BARMM population is vulnerable in 2023, with 23.0 percent poor.

Similarly, households whose heads have less than primary or with primary education account for 57.0 percent of the poor, but account for 77.0 percent of the highly vulnerable. These differences have implications for targeting of anti-poverty policies. In line with this, we also find that education is a key protective factor against poverty and vulnerability. Households headed by individuals with tertiary education are less vulnerable and less likely to be observed poor, with vulnerability rate at 5.0 percent and poverty rate at 2.0 percent.

Agriculture remains the highest-risk sector, with 25.0 percent poverty rate and 60.0 percent vulnerability rate in 2023. Households reliant on agriculture (with heads employed in this sector) comprise 19.0 percent of the population, but accounts for 44.0 percent of the poor households, 39.0 percent of the vulnerable, and 61.0 percent of the highly vulnerable. Industry, manufacturing and services have lower poverty incidence, at 12.0 percent, 8.0 percent and 6.0 percent respectively, and

with lower rates of high vulnerability at 6.0 percent, 4.0 percent and 2.0 percent, respectively. For this reason, transitioning more of the labor force and households to services, industry and manufacturing, which have higher productivity and value-added is an important factor in addressing poverty and vulnerability especially among rural areas and regions distant from the economic centers.

8.3 Sources of Vulnerability

Households with the same level of vulnerability may be vulnerable for different reasons: some households have relatively lower income to begin with, while others have higher volatility or uncertainty of income. Recognizing the sources of vulnerability among key groups of interest may aid policymakers and program planners towards an efficient and equitable manner of allocating resources for social protection. In terms of policy intervention, households with low endowments and thus lower income, which are likely the poor households, will benefit more from a conditional cash transfer program like the *Pantawid Pamilyang Pilipino Program* (4Ps Program), where households are provided with cash conditional to their children's school attendance and consistent health check-ups to ensure that they complete basic education and develop good health and nutrition habits, with the aim of breaking the intergenerational cycle of poverty among families. Households who are vulnerable due to high uncertainty of income streams may be better helped with policies that reduce the risks that they face or insure them against such risks.

Following Chaudhuri and Datt (2001) we adopt a classification of households by sources vulnerability. The first group are the non-vulnerable, defined as those with estimated vulnerability level below the poverty rate (in 2023, 10.9 percent), who will have estimated levels of mean income well above the poverty line. The second group are those with relatively volatile income streams: labeled high-volatility-income vulnerable, whose estimated vulnerability level is above the poverty rate, but the estimated mean income is above the poverty line. The third group are the households with relatively low endowments to begin with: labeled as low-mean-income vulnerable, whose mean levels of income fall below the poverty line and whose vulnerability level or probability of finding themselves poor in the period is above 50.0 percent.

Figure 3 plots the estimated mean income against the estimated standard deviation of income for all households observed to be vulnerable in 2023. The scatterplot shows that households at the same level of vulnerability can be vulnerable for different reasons. For example, well-off households with relatively higher incomes may be vulnerable if their income streams fluctuate more compared to households with stable employment and income sources. Households with relatively low income to begin with are vulnerable due to this reason regardless of the variability of their income sources, however an increase in the uncertainty of their income sources may leave them highly vulnerable.

Figure 3. Estimated mean and standard deviation of income of vulnerable households, FIES 2023

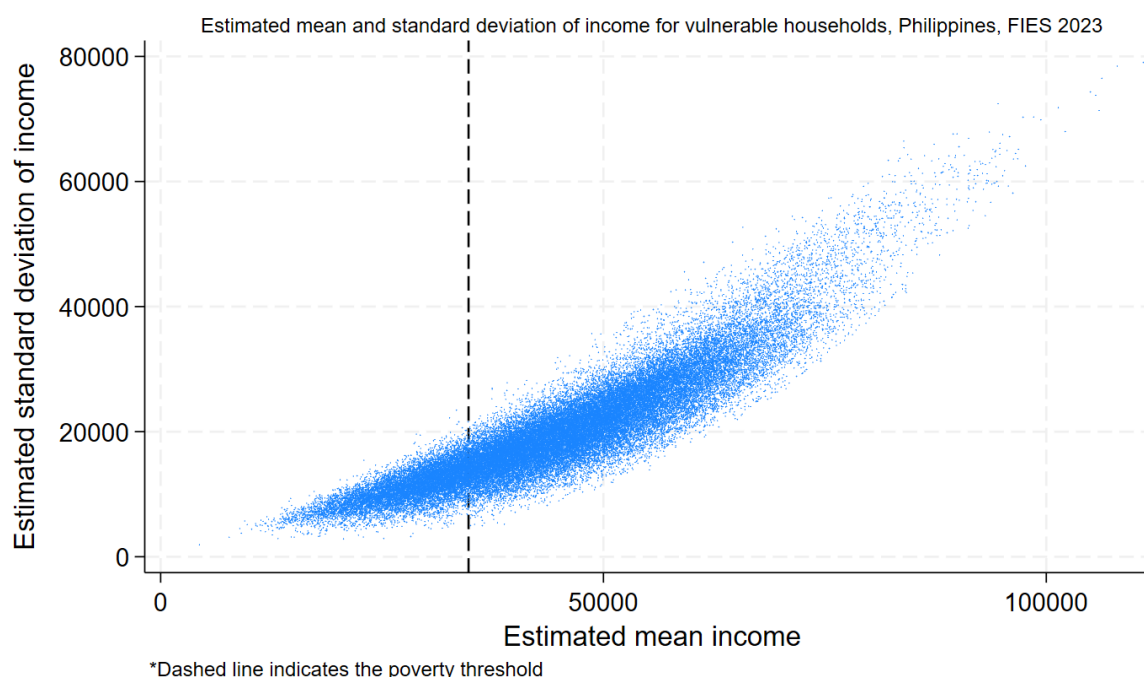


Table 24 presents the overall picture on the sources of vulnerability in 2023. We estimate that 26.0 percent of the population is vulnerable due to high volatility of income while 4.0 percent is vulnerable because of low expected income. A majority, 86.0 percent of the vulnerable are due to high volatility of income. High volatility of income is also an important factor for the poor. We observe that 84.0 percent of the poor are vulnerable, and a significant size (59.0 percent) of the vulnerable amongst the poor are high-volatility of income vulnerable. A quarter (25.0 percent) of the currently poor are low-mean income vulnerable. Similarly, about 23.0 percent of the non-poor are vulnerable, and majority of them (93.0 percent) are high-volatility of income vulnerable.

Table 25 presents the shares of high-volatility of income and low-mean income groups amongst the vulnerable populations as well as amongst the highly vulnerable. Amongst the regions, while the vulnerability rate is low in NCR (9.0 percent), it is entirely on account of high volatility of income (97.0 percent). The same is also observed among households with heads having tertiary or secondary education. Across all regions, even after subdividing among rural and urban areas, at least 70.0 percent of the vulnerable are due to high volatility of income.

The contrast among the importance of sources of vulnerability emerges among the high-vulnerable population. At least 70.0 percent of the highly vulnerable in rural areas are due to low-mean incomes, while the urban highly vulnerable are relatively more diverse: around 28.0 percent to 45.0 percent are due to high-volatility of income. A sizeable share (75.0 to 79.0 percent) of the highly vulnerable amongst households with heads that are either primary-educated or lesser are low-mean income vulnerable, while 63% of highly vulnerable households with tertiary-educated heads are high-volatility of income vulnerable.

Provinces with low levels of infrastructure have higher vulnerable rates. Provinces with low index of communications infrastructure have dramatically high vulnerability rate at 68.0 percent, versus 29.0 percent vulnerable in high-infrastructure provinces. For provinces with low index of waterworks systems, the incidence of vulnerability is 39.0 percent versus 29.0 percent in high-infrastructure areas.

Regardless of the infrastructure conditions, the sources of vulnerability remain remarkably constant for both vulnerable and highly vulnerable households. For vulnerable households, high-volatility of income is the dominant source of vulnerability, around 74.0 to 87.0 percent, in contrast amongst the highly vulnerable group, where low-mean incomes are the major source of vulnerability at 72.0 to 74.0 percent.

Vulnerability extends well beyond current poverty: 44.0 percent of the low income (but non-poor) households, and even 11.0 percent of the lower middle-income households face significant risks of vulnerability to poverty, primarily from income volatility. Social protection must expand beyond the poorest to include these vulnerable populations. While conditional cash transfers like the 4Ps address chronic poverty, vulnerable non-poor households need income stabilization support such as insurance, disaster protection, health coverage and asset-building programs. This calls for differentiated policy responses that proactively builds and strengthens the resilience of households, alongside current poverty alleviation programs.

Table 21. Poverty and vulnerability within different segments of the population, 2023

2023 Sample	Population share	Share of poor	Share of vulnerable	Share of highly vulnerable	Fraction poor	Mean vulnerability	Fraction vulnerable	Fraction highly vulnerable	Vulnerability to poverty ratio
Overall					0.11	0.12	0.30	0.06	2.75
By location:									
Rural	0.45	0.64	0.64	0.76	0.16	0.17	0.43	0.10	2.71
Urban	0.55	0.36	0.36	0.24	0.07	0.08	0.20	0.02	2.81
By region:									
National Capital Region	0.13	0.01	0.04	0.01	0.01	0.04	0.09	0.00	7.90
North and Central Luzon: rural	0.11	0.08	0.11	0.07	0.08	0.11	0.29	0.04	3.86
North and Central Luzon: urban	0.10	0.05	0.05	0.02	0.05	0.06	0.15	0.01	2.89
Southern Luzon: rural	0.11	0.14	0.14	0.14	0.14	0.16	0.40	0.08	2.84
Southern Luzon: urban	0.13	0.08	0.10	0.06	0.07	0.08	0.22	0.03	3.35
West and Central Visayas: rural	0.08	0.11	0.09	0.10	0.16	0.14	0.37	0.07	2.25
West and Central Visayas: urban	0.07	0.08	0.06	0.05	0.13	0.10	0.25	0.04	1.97
Eastern Visayas: rural	0.04	0.07	0.07	0.10	0.21	0.22	0.53	0.15	2.51
Eastern Visayas: urban	0.01	0.01	0.01	0.01	0.15	0.13	0.32	0.07	2.10
Mindanao excl. BARMM: rural	0.10	0.20	0.18	0.24	0.23	0.22	0.55	0.14	2.39
Mindanao excl. BARMM: urban	0.10	0.10	0.09	0.08	0.11	0.10	0.27	0.04	2.53
BARMM: rural	0.02	0.05	0.06	0.11	0.23	0.35	0.76	0.29	3.37
BARMM: urban	0.01	0.02	0.02	0.02	0.26	0.23	0.55	0.15	2.14
By education of head:									
Less than primary	0.02	0.05	0.04	0.08	0.33	0.35	0.75	0.30	2.26
Primary	0.30	0.53	0.50	0.69	0.19	0.21	0.50	0.13	2.63
Secondary incl. Post-Secondary	0.45	0.38	0.42	0.23	0.09	0.10	0.28	0.03	3.05
Tertiary incl. Post-Graduate	0.23	0.05	0.04	0.00	0.02	0.03	0.05	0.00	2.15
By sector of head:									
Unemployed	0.21	0.14	0.14	0.07	0.07	0.08	0.20	0.02	2.80
Agriculture	0.19	0.44	0.39	0.61	0.25	0.25	0.60	0.18	2.41
Industry excl. Manufacturing	0.14	0.15	0.16	0.15	0.12	0.13	0.36	0.06	3.05
Manufacturing	0.06	0.04	0.05	0.04	0.08	0.10	0.27	0.04	3.52
Services	0.41	0.24	0.26	0.14	0.06	0.07	0.19	0.02	3.01

Source: Authors' calculations from FIES-LFS 2023.

Table 22. Poverty and vulnerability within different segments of the population, 2021

2021 Sample	Population share	Share of poor	Share of vulnerable	Share of highly vulnerable	Fraction poor	Mean vulnerability	Fraction vulnerable	Fraction highly vulnerable	Vulnerability to poverty ratio
Overall					0.13	0.14	0.32	0.07	2.39
By location:									
Rural	0.47	0.68	0.69	0.79	0.19	0.20	0.46	0.11	2.41
Urban	0.53	0.32	0.31	0.21	0.08	0.09	0.19	0.03	2.35
By region:									
National Capital Region	0.13	0.02	0.04	0.01	0.02	0.05	0.09	0.01	4.10
North and Central Luzon: rural	0.12	0.09	0.12	0.08	0.11	0.13	0.33	0.04	3.12
North and Central Luzon: urban	0.10	0.06	0.05	0.02	0.08	0.08	0.16	0.02	2.12
Southern Luzon: rural	0.11	0.14	0.15	0.15	0.16	0.18	0.42	0.09	2.59
Southern Luzon: urban	0.12	0.06	0.07	0.04	0.07	0.08	0.18	0.02	2.60
West and Central Visayas: rural	0.09	0.14	0.12	0.13	0.22	0.20	0.45	0.11	2.09
West and Central Visayas: urban	0.06	0.06	0.06	0.05	0.13	0.13	0.29	0.06	2.33
Eastern Visayas: rural	0.04	0.07	0.06	0.08	0.24	0.23	0.54	0.14	2.26
Eastern Visayas: urban	0.01	0.01	0.00	0.00	0.12	0.11	0.26	0.04	2.17
Mindanao excl. BARMM: rural	0.10	0.19	0.17	0.23	0.26	0.25	0.55	0.16	2.11
Mindanao excl. BARMM: urban	0.10	0.10	0.08	0.06	0.13	0.11	0.25	0.04	2.02
BARMM: rural	0.02	0.04	0.05	0.12	0.28	0.43	0.81	0.39	2.92
BARMM: urban	0.01	0.02	0.01	0.02	0.29	0.25	0.56	0.17	1.95
By education of head:									
Less than primary	0.02	0.05	0.04	0.08	0.37	0.38	0.74	0.32	1.99
Primary	0.32	0.54	0.53	0.68	0.22	0.23	0.52	0.15	2.34
Secondary incl. Post-Secondary	0.44	0.37	0.40	0.24	0.11	0.12	0.28	0.04	2.60
Tertiary incl. Post-Graduate	0.22	0.04	0.03	0.00	0.03	0.04	0.05	0.00	1.78
By sector of head:									
Unemployed	0.23	0.17	0.16	0.09	0.10	0.10	0.22	0.03	2.33
Agriculture	0.20	0.42	0.39	0.57	0.27	0.27	0.60	0.19	2.19
Industry excl. Manufacturing	0.14	0.14	0.16	0.16	0.14	0.16	0.37	0.08	2.71
Manufacturing	0.06	0.05	0.05	0.04	0.10	0.12	0.28	0.05	2.75
Services	0.37	0.23	0.24	0.14	0.08	0.09	0.20	0.03	2.55

Source: Authors' calculations from FIES-LFS 2021.

Table 23. Poverty and vulnerability within different segments of the population, 2018

2018 Sample	Population share	Share of poor	Share of vulnerable	Share of highly vulnerable	Fraction poor	Mean vulnerability	Fraction vulnerable	Fraction highly vulnerable	Vulnerability to poverty ratio
Overall					0.12	0.13	0.29	0.07	2.40
By location:									
Rural	0.48	0.72	0.72	0.81	0.18	0.19	0.44	0.12	2.41
Urban	0.52	0.28	0.28	0.19	0.07	0.07	0.15	0.03	2.37
By region:									
National Capital Region	0.13	0.02	0.03	0.01	0.01	0.03	0.06	0.00	4.24
North and Central Luzon: rural	0.12	0.09	0.12	0.08	0.09	0.12	0.29	0.04	3.21
North and Central Luzon: urban	0.09	0.03	0.03	0.01	0.04	0.05	0.11	0.01	2.49
Southern Luzon: rural	0.11	0.13	0.15	0.13	0.14	0.16	0.38	0.08	2.76
Southern Luzon: urban	0.12	0.05	0.06	0.03	0.05	0.06	0.14	0.02	3.07
West and Central Visayas: rural	0.08	0.10	0.12	0.11	0.16	0.17	0.43	0.09	2.76
West and Central Visayas: urban	0.07	0.05	0.04	0.02	0.09	0.08	0.19	0.03	2.10
Eastern Visayas: rural	0.04	0.08	0.07	0.08	0.25	0.22	0.51	0.14	2.05
Eastern Visayas: urban	0.00	0.01	0.00	0.00	0.15	0.12	0.27	0.05	1.83
Mindanao excl. BARMM: rural	0.10	0.22	0.20	0.25	0.27	0.25	0.58	0.17	2.17
Mindanao excl. BARMM: urban	0.10	0.10	0.09	0.07	0.12	0.11	0.27	0.05	2.16
BARMM: rural	0.02	0.09	0.06	0.17	0.55	0.55	0.89	0.56	1.62
BARMM: urban	0.01	0.03	0.02	0.05	0.47	0.40	0.75	0.37	1.57
By education of head:									
Less than primary	0.02	0.07	0.05	0.11	0.45	0.42	0.77	0.39	1.73
Primary	0.34	0.58	0.58	0.71	0.21	0.22	0.49	0.14	2.39
Secondary incl. Post-Secondary	0.45	0.32	0.35	0.18	0.08	0.09	0.22	0.03	2.64
Tertiary incl. Post-Graduate	0.19	0.03	0.02	0.00	0.02	0.02	0.03	0.00	1.57
By sector of head:									
Unemployed	0.23	0.14	0.14	0.07	0.08	0.08	0.18	0.02	2.40
Agriculture	0.22	0.52	0.48	0.68	0.28	0.28	0.62	0.21	2.19
Industry excl. Manufacturing	0.11	0.10	0.12	0.10	0.12	0.14	0.33	0.07	2.84
Manufacturing	0.06	0.04	0.05	0.03	0.08	0.09	0.21	0.03	2.76
Services	0.38	0.19	0.21	0.11	0.06	0.07	0.16	0.02	2.66

Source: Authors' calculations from FIES-LFS 2018.

Table 24. Sources of vulnerability for Philippines, FIES 2023

	Overall	Non-Poor	Poor	Vulnerable	Non-Vulnerable	High-volatility of income vulnerable	Low-mean income vulnerable
Mean per-capita income (Pesos/year)	102,014	111,240	26,507	125,141	47,834	50,635	30,188
Fraction poor	0.11	0.00	1.00	0.02	0.31	0.25	0.66
Mean vulnerability	0.12	0.09	0.39	0.03	0.32	0.26	0.74
Fraction vulnerable	0.30	0.23	0.84	0.00	1.00	1.00	1.00
High-volatility of income	0.26	0.22	0.59	0.00	0.86	1.00	0.00
Low-mean income	0.04	0.02	0.25	0.00	0.14	0.00	1.00

Table 25. Summary statistics for household groups classified by sources of vulnerability, FIES 2023

	Share of non-vulnerable in population	Share of vulnerable	Vulnerable		Share of highly-vulnerable	Highly-vulnerable	
			High-volatility	Low-mean income		Hgh-volatility	Low-mean income
Overall	0.70	0.30	0.86	0.14	0.06	0.27	0.73
By location:							
Rural	0.57	0.43	0.83	0.17	0.10	0.25	0.75
Urban	0.80	0.20	0.92	0.08	0.02	0.34	0.66
By region:							
National Capital Region	0.91	0.09	0.97	0.03	0.00	0.45	0.55
Northern and Central Luzon: rural	0.71	0.29	0.92	0.08	0.04	0.30	0.70
Northern and Central Luzon: urban	0.85	0.15	0.95	0.05	0.01	0.30	0.70
Southern Luzon: rural	0.60	0.40	0.85	0.15	0.08	0.25	0.75
Southern Luzon: urban	0.78	0.22	0.93	0.07	0.03	0.38	0.62
Western and Central Visayas: rural	0.63	0.37	0.86	0.14	0.07	0.27	0.73
Western and Central Visayas: urban	0.75	0.25	0.90	0.10	0.04	0.33	0.67
Eastern Visayas: rural	0.47	0.53	0.78	0.22	0.15	0.22	0.78
Eastern Visayas: urban	0.68	0.32	0.85	0.15	0.07	0.30	0.71
Mindanao excl. BARMM: rural	0.45	0.55	0.81	0.19	0.14	0.26	0.74
Mindanao excl. BARMM: urban	0.73	0.27	0.89	0.11	0.04	0.32	0.68

	Share of non-vulnerable in population	Share of vulnerable	Vulnerable		Share of highly-vulnerable	Highly-vulnerable	
			High-volatility	Low-mean income		Hgh-volatility	Low-mean income
BARMM: rural	0.24	0.76	0.71	0.29	0.29	0.23	0.77
BARMM: urban	0.45	0.55	0.81	0.19	0.15	0.28	0.72
By education of household head:							
Less than primary	0.25	0.75	0.68	0.32	0.30	0.21	0.79
Primary	0.50	0.50	0.81	0.19	0.13	0.25	0.75
Secondary incl. Post-Secondary	0.72	0.28	0.94	0.06	0.03	0.38	0.62
Tertiary	0.95	0.05	1.00	0.00	0.01	0.69	0.31
By sector of employment of head:							
Unemployed	0.80	0.20	0.94	0.06	0.02	0.35	0.65
Agriculture	0.40	0.60	0.77	0.23	0.18	0.24	0.76
Industry excl. Manufacturing	0.64	0.36	0.88	0.12	0.06	0.28	0.72
Manufacturing	0.73	0.27	0.91	0.09	0.04	0.33	0.67
Services	0.81	0.19	0.94	0.06	0.02	0.37	0.63
By income classes:							
Poor	0.16	0.84	0.70	0.30	0.32	0.22	0.78
Low-income (but not poor)	0.56	0.44	0.92	0.08	0.05	0.35	0.65
Lower middle-income	0.89	0.11	0.98	0.02	0.00	-	-
Middle middle-income	0.97	0.03	1.00	0.00	0.00	-	-
Upper middle-income	0.99	0.01	1.00	0.00	0.00	-	-
Upper income (but not rich)	0.98	0.02	1.00	0.00	0.00	-	-
Rich	0.99	0.01	1.00	0.00	0.00	-	-
By community characteristics:							
Index of communications infrastructure:							
Low	0.32	0.68	0.74	0.26	0.24	0.26	0.74
High	0.71	0.29	0.87	0.13	0.05	0.28	0.72
Index of waterworks infrastructure:							
Low	0.61	0.39	0.83	0.17	0.09	0.26	0.74
High	0.71	0.29	0.87	0.13	0.05	0.28	0.72

Table 26. Sources of vulnerability for Philippines, FIES 2021

	Overall	Non-Poor	Poor	Vulnerable	Non-Vulnerable	High-volatility of income vulnerable	Low-mean income vulnerable
Mean per-capita income (Pesos/year)	84,948	94,454	22,384	105,284	40,804	43,552	25,990
Fraction poor	0.13	0.00	1.00	0.04	0.34	0.28	0.68
Mean vulnerability	0.14	0.10	0.39	0.04	0.36	0.28	0.74
Fraction vulnerable	0.32	0.24	0.82	0.00	1.00	1.00	1.00
High-volatility of income	0.27	0.22	0.56	0.00	0.84	1.00	0.00
Low-mean income	0.05	0.02	0.25	0.00	0.16	0.00	1.00

Table 27. Summary statistics for household groups classified by sources of vulnerability, FIES 2021

	Share of non-vulnerable in population	Share of vulnerable	Vulnerable		Share of highly-vulnerable	Highly-vulnerable	
			High-volatility	Low-mean income		Hgh-volatility	Low-mean income
Overall	0.68	0.32	0.84	0.16	0.07	0.28	0.72
By location:							
Rural	0.54	0.46	0.82	0.18	0.11	0.28	0.72
Urban	0.81	0.19	0.90	0.10	0.03	0.31	0.69
By region:							
National Capital Region	0.91	0.09	0.95	0.05	0.01	0.38	0.62
Northern and Central Luzon: rural	0.67	0.33	0.92	0.08	0.04	0.39	0.61
Northern and Central Luzon: urban	0.84	0.16	0.94	0.06	0.02	0.37	0.63
Southern Luzon: rural	0.58	0.42	0.85	0.15	0.09	0.30	0.70
Southern Luzon: urban	0.82	0.18	0.90	0.10	0.02	0.29	0.71
Western and Central Visayas: rural	0.55	0.45	0.83	0.17	0.11	0.27	0.73
Western and Central Visayas: urban	0.71	0.29	0.87	0.13	0.06	0.30	0.70
Eastern Visayas: rural	0.46	0.54	0.81	0.19	0.14	0.29	0.71
Eastern Visayas: urban	0.74	0.26	0.90	0.10	0.04	0.37	0.63
Mindanao excl. BARMM: rural	0.45	0.55	0.78	0.22	0.16	0.27	0.73
Mindanao excl. BARMM: urban	0.75	0.25	0.89	0.11	0.04	0.32	0.68

	Share of non-vulnerable in population	Share of vulnerable	Vulnerable		Share of highly-vulnerable	Highly-vulnerable	
			High-volatility	Low-mean income		Hgh-volatility	Low-mean income
BARMM: rural	0.19	0.81	0.61	0.39	0.39	0.19	0.81
BARMM: urban	0.44	0.56	0.77	0.23	0.17	0.24	0.76
By education of household head:							
Less than primary	0.26	0.74	0.64	0.36	0.32	0.16	0.84
Primary	0.48	0.52	0.79	0.21	0.15	0.26	0.74
Secondary incl. Post-Secondary	0.72	0.28	0.92	0.08	0.04	0.39	0.61
Tertiary	0.95	0.05	0.99	0.01	0.00	0.67	0.33
By sector of employment of head:							
Unemployed	0.78	0.22	0.93	0.07	0.03	0.41	0.59
Agriculture	0.40	0.60	0.76	0.24	0.19	0.24	0.76
Industry excl. Manufacturing	0.63	0.37	0.84	0.16	0.08	0.25	0.75
Manufacturing	0.72	0.28	0.88	0.12	0.05	0.30	0.70
Services	0.80	0.20	0.92	0.08	0.03	0.39	0.61
By income classes:							
Poor	0.18	0.82	0.69	0.31	0.33	0.24	0.76
Low-income (but not poor)	0.57	0.43	0.91	0.09	0.06	0.35	0.65
Lower middle-income	0.88	0.12	0.98	0.02	0.01	-	-
Middle middle-income	0.96	0.04	0.99	0.01	0.00	-	-
Upper middle-income	0.98	0.02	0.97	0.03	0.00	-	-
Upper income (but not rich)	0.98	0.02	1.00	0.00	0.00	-	-
Rich	0.99	0.01	1.00	0.00	0.00	-	-
By community characteristics:							
Index of communications infrastructure:							
Low	0.23	0.77	0.66	0.34	0.33	0.21	0.79
High	0.70	0.30	0.86	0.14	0.06	0.29	0.71
Index of waterworks infrastructure:							
Low	0.56	0.44	0.81	0.19	0.11	0.25	0.75
High	0.70	0.30	0.85	0.15	0.06	0.29	0.71

Table 28. Sources of vulnerability for Philippines, FIES 2018

	Overall	Non-Poor	Poor	Vulnerable	Non-Vulnerable	High-volatility of income vulnerable	Low-mean income vulnerable
Mean per-capita income (Pesos/year)	82,078	90,635	20,160	101,322	35,307	37,987	22,755
Fraction poor	0.12	0.00	1.00	0.03	0.35	0.27	0.73
Mean vulnerability	0.13	0.09	0.43	0.03	0.36	0.28	0.76
Fraction vulnerable	0.29	0.21	0.85	0.00	1.00	1.00	1.00
High-volatility of income	0.24	0.20	0.54	0.00	0.82	1.00	0.00
Low-mean income	0.05	0.02	0.31	0.00	0.18	0.00	1.00

Table 29. Summary statistics for household groups classified by sources of vulnerability, FIES 2018

	Share of non-vulnerable in population	Share of vulnerable	Vulnerable		Share of highly-vulnerable	Highly-vulnerable	
			High-volatility	Low-mean income		Hgh-volatility	Low-mean income
Overall	0.71	0.29	0.82	0.18	0.07	0.25	0.75
By location:							
Rural	0.56	0.44	0.80	0.20	0.12	0.24	0.76
Urban	0.85	0.15	0.89	0.11	0.03	0.30	0.70
By region:							
National Capital Region	0.94	0.06	0.96	0.04	0.00	0.35	0.65
Northern and Central Luzon: rural	0.71	0.29	0.90	0.10	0.04	0.34	0.66
Northern and Central Luzon: urban	0.90	0.11	0.95	0.05	0.01	0.34	0.66
Southern Luzon: rural	0.62	0.38	0.85	0.15	0.08	0.29	0.71
Southern Luzon: urban	0.86	0.14	0.93	0.08	0.02	0.40	0.60
Western and Central Visayas: rural	0.57	0.43	0.85	0.15	0.09	0.28	0.72
Western and Central Visayas: urban	0.81	0.19	0.90	0.10	0.03	0.27	0.73
Eastern Visayas: rural	0.49	0.51	0.80	0.20	0.14	0.26	0.74
Eastern Visayas: urban	0.73	0.27	0.87	0.13	0.05	0.33	0.67
Mindanao excl. BARMM: rural	0.42	0.58	0.78	0.22	0.17	0.25	0.75
Mindanao excl. BARMM: urban	0.73	0.27	0.88	0.12	0.05	0.32	0.68

	Share of non-vulnerable in population	Share of vulnerable	Vulnerable		Share of highly-vulnerable	Highly-vulnerable	
			High-volatility	Low-mean income		Hgh-volatility	Low-mean income
BARMM: rural	0.11	0.89	0.46	0.54	0.56	0.13	0.87
BARMM: urban	0.25	0.75	0.59	0.41	0.37	0.17	0.83
By education of household head:							
Less than primary	0.23	0.77	0.57	0.43	0.39	0.14	0.86
Primary	0.51	0.49	0.78	0.22	0.14	0.24	0.76
Secondary incl. Post-Secondary	0.78	0.22	0.92	0.08	0.03	0.37	0.63
Tertiary	0.97	0.03	0.99	0.01	0.00	0.61	0.39
By sector of employment of head:							
Unemployed	0.82	0.18	0.93	0.07	0.02	0.37	0.63
Agriculture	0.38	0.62	0.74	0.26	0.21	0.23	0.77
Industry excl. Manufacturing	0.67	0.33	0.85	0.15	0.07	0.26	0.74
Manufacturing	0.79	0.21	0.89	0.11	0.03	0.26	0.74
Services	0.84	0.16	0.92	0.08	0.02	0.34	0.66
By income classes:							
Poor	0.15	0.85	0.64	0.36	0.38	0.19	0.81
Low-income (but not poor)	0.57	0.43	0.91	0.09	0.06	0.37	0.63
Lower middle-income	0.90	0.10	0.98	0.02	0.00	-	-
Middle middle-income	0.97	0.03	0.99	0.01	0.00	-	-
Upper middle-income	0.99	0.01	0.99	0.01	0.00	-	-
Upper income (but not rich)	0.99	0.01	1.00	0.00	0.00	-	-
Rich	0.99	0.01	1.00	0.00	0.00	-	-
By community characteristics:							
Index of communications infrastructure:							
Low	0.23	0.77	0.58	0.42	0.38	0.16	0.84
High	0.72	0.28	0.84	0.16	0.06	0.27	0.73
Index of waterworks infrastructure:							
Low	0.57	0.43	0.70	0.30	0.16	0.18	0.82
High	0.73	0.27	0.85	0.15	0.06	0.28	0.72

9. Policy Implications

Social protection must expand beyond reactive poverty relief to a broader focus on proactive resilience building, as vulnerability incidence exceeds current poverty, with nearly a quarter of non-poor households at significant risk to downward mobility. Social protection framework and programs must be designed to prevent downward mobility and not just address current destitution. Differentiated policy interventions must address the needs of groups, primarily based on their sources of vulnerability. For the households experiencing unstable incomes or high volatility of income, which comprise 86.0 percent of the vulnerable, income stabilization mechanisms such as unemployment insurance, health insurance coverage, as well as enhanced access to credit and savings instruments promotes resilience and asset building. Complementary programs such as public works or cash-for-work programs, business continuity support for micro, small and medium enterprises (MSMEs) and emergency cash assistance during shocks or disasters may also help these households and prevent them from downward mobility to poverty.

Amongst the low-mean income vulnerable, long-term human capital investments must be prioritized through continuation of their participation in the 4Ps conditional cash transfers which must include proper targeting of the poorest and those with the lowest endowments. These can be complemented with skills upgrading, livelihood programs and asset building initiatives to prepare them to be financially independent after graduation of support. The growing importance of the middle-income class, as well as the equity focus on lifting the poorest out of destitution must mean that social protection encompasses and address the needs of these various socioeconomic segments of society. Fiscal prudence as well as equity in targeting must also be emphasized to keep the administrative cost of social protection low and efficient, reaching the actual intended groups who need these interventions the most.

9.1 Social Protection

As the Philippines transitions toward upper-middle income status, the nature of poverty is changing from predominantly chronic to increasingly dynamic and shock-driven. This implies that social protection systems must evolve accordingly – from a primary focus on alleviating existing poverty toward a broader role in preventing future poverty by protecting households against risks and downward mobility. Poverty itself is not static, thus interventions cannot be based solely on static lists of poor households. Further, the middle class, especially the lower middle class, are also in need of social protection.

Middle-income households represent 51.3 percent of the population but have minimal social protection despite contributing significantly to the economy. In the Philippines, only about a third (34.9 percent) of the population is covered by at least one social protection benefit excluding health, in comparison to higher social protection effective coverage rate in some Southeast Asian countries such as Singapore (100.0 percent), Thailand (70.1 percent), and even Indonesia (54.3 percent) and Viet Nam (38.3 percent) as illustrated in Table 30. Among upper-middle income countries, the effective social protection effective coverage rate is 71.2 percent (ILO 2024).

Table 30. Social Protection Effective Coverage Rate, select Southeast Asian countries

Country	Year	SDG 1.3.1 Population covered by at least one social protection benefit (excluding health), in percent	By type of scheme: Contributory	Tax-financed
Philippines	2022	34.9	15.7	19.1
Singapore	2023	100.0	74.0	32.1
Malaysia	2023	29.2	27.7	1.5
Thailand	2020	70.1	30.3	39.8
Indonesia	2021	54.3	14.2	40.1
Viet Nam	2022	38.3	21.2	17.1

Source: Annex 5.2 of ILO (2024: World Social Protection Report 2024-26: Universal social protection for climate action and a just transition).

Among the labor-related social protection coverage, the Philippines trails behind middle-income Southeast neighbors on social protection coverage for unemployed individuals, with coverage at 5.6 percent compared to Thailand's 62.8 percent, Viet Nam's 59.2 percent, and Malaysia's 10.4 percent. The lack of insurance against risks explains why the COVID-19 pandemic hit both the Filipino low-income and middle-class households as many had no financial cushion against income shocks. The coverage rate of the labor force actively contributing to a pension scheme also leaves a sizeable share of workers exposed to risks in the latter years of an individual's life cycle. In the Philippines, the percentage of labor force covered by pension schemes is also about a third (33.4 percent), in comparison to higher coverage rates in Singapore (88.1 percent), Thailand (49.3 percent), and Malaysia (46.1 percent) (Table 31). Two-thirds of workers lack retirement security, perpetuating vulnerability into the life cycle. The promotion of formal employment especially among MSMEs can be an important factor in addressing this aspect.

Universal health coverage rate in the Philippines is higher but remains incomplete. Despite the Philippines having a relatively high health coverage of 58.2 percent, neighboring Southeast Asian countries have better health coverage systems such as Singapore (88.5 percent), Thailand (82.0 percent), Malaysia (76.0 percent), Viet Nam (68.1 percent) and Indonesia (54.8 percent). Even with PhilHealth, coverage gaps and out-of-pocket costs may leave households vulnerable to health shocks. As an oft-cited claim chimes: Filipinos are one sickness and hospital confinement away from poverty.

Table 31. Labor-Related Social Protection Coverage (in percent), select Southeast Asian countries

Country	Unemployed	Workers in case of work injury	Labor force covered by pension scheme*	Universal Health Coverage
Philippines	5.6	33.4	33.4	58.2
Singapore	0.0	95.9	88.1	88.5
Malaysia	10.4	43.8	46.1	76.0
Thailand	62.8	30.9	49.3	82.0
Indonesia	0.0	26.3	13.5	54.8
Viet Nam	59.2	29.6	31.5	68.1

Source: Annex 5.2 of ILO (2024: World Social Protection Report 2024-26: Universal social protection for climate action and a just transition). Data for 2020 or latest available year.

*Active contributors to a pension scheme as percentage of the labor force, 15 years old and above

Vulnerable groups in the Philippines also have shockingly low protection. Persons with severe disabilities coverage of 2.2 percent amongst social protection systems is an alarming concern on vulnerability, as well as for children (16.9 percent), mothers with newborns (14.6 percent) and vulnerable persons, of which

22.7 percent are covered by social assistance. Older persons have relatively good and much higher social protection coverage rates at 65.6 percent likely from senior citizen benefits.

Table 32. People Protected by Social Protection Systems including Floors (in percent), select Southeast Asian countries

Country	Children (0-18)	Mothers with newborns	Persons with severe disabilities	Older Persons	Vulnerable persons receiving social assistance
Philippines	16.9	14.6	2.2	65.6	22.7
Singapore	23.0	63.1	55.7	37.3	100.0
Malaysia	1.4	49.9	32.2	18.5	2.0
Thailand	26.2	38.8	97.9	82.6	59.9
Indonesia	47.2	29.4	2.5	31.2	49.5
Viet Nam	1.2	44.0	85.1	40.9	21.7

Source: Annex 5.2 of ILO (2024: World Social Protection Report 2024-26: Universal social protection for climate action and a just transition). Data for 2020 or latest available year.

The Philippines' social protection spending is modest despite high vulnerability as shown in Table 33. It spends 2.7 percent of Gross Domestic Product (GDP) on social protection excluding health care in 2022, and this is mostly geared towards addressing poverty. This spending rate is behind some Southeast Asian countries with comparable income levels, such as Thailand (4.9 percent of GDP), Indonesia (1.5 percent) and Viet Nam (5.1 percent). The Philippines' health expenditure as percent of GDP (2.3 percent) is also relatively low among comparable Southeast Asian countries, such as Singapore (3.5 percent), Thailand (3.6 percent) and Malaysia (2.5 percent). On average among upper middle-income countries, 8.5 percent of their GDP are spent on social protection excluding health, and 3.4 percent on health (ILO 2024). With the Philippines soon breaching the upper middle-income status, social protection coverage will need to catch up with international standards. Fiscal sustainability as well as fairness and transparency are the characteristics by which social protection programs must be designed and evaluated.

Table 33. Expenditure on Social Protection as percent of GDP, select Southeast Asian countries

Country	Year	Total expenditure on social protection (excluding health care)	Domestic general health expenditure, WHO (2021)	Data Source
Philippines	2022	2.7	2.3	IMF
Singapore	2022	1.0	3.5	IMF
Malaysia	...	...	2.5	National
Thailand	2022	4.9	3.6	IMF
Indonesia	2022	1.5	2.2	IMF
Viet Nam	2020	5.1	2.0	National

Source: Annex 6 of ILO (2024: World Social Protection Report 2024-26: Universal social protection for climate action and a just transition). Data for 2020 or latest available year.

The Social Protection Plan (2023 to 2028) indicates a paradigm shift in high-level social security policy within the Philippines. It seeks to improve the welfare of Filipinos by enhancing their capacity to handle risks and decrease vulnerability. Universal coverage means programs are accessible to everyone when needed. By 2028, the objectives of the Plan include reinforcing and streamlining social protection systems by managing life cycle risks, addressing natural disasters and health emergencies, and building a universal, modern and integrated system. Implementation of the Social Protection Floor requires strategies that secure income

protection and health services for every age, guaranteeing program availability during critical life transitions and unforeseen circumstances.

The Social Protection Plan suggests a desire to evolve the social security system from just treating the symptom of poverty by providing transfers to those already living in extreme poverty, towards a more modern, innovative system that focuses on tackling the causes of poverty by addressing the lifecycle risks that all members of society face.

10. Policy Recommendations

Strengthening Social Protection Systems

The vulnerability analysis shows that economic insecurity in the Philippines extends well beyond the currently poor. A substantial share of households above the poverty line face a high probability of falling into poverty due to income volatility, health shocks, labor market instability, and climate-related risks. This implies that a social protection system focused narrowly on the poorest is no longer sufficient in a context where poverty is increasingly dynamic and shock-driven. As the Philippines approaches upper-middle income status, social protection must therefore evolve from a primarily poverty-alleviation instrument into a broader system for preventing downward mobility and strengthening household resilience.

This shift supports a gradual transition toward universal social protection — understood not as universal transfers, but as universal access to risk protection mechanisms, including health insurance, income and employment protection, disaster and climate risk protection, and old-age security. Several priorities follow directly from the vulnerability findings:

1. **Expand protection to vulnerable non-poor households, especially the lower-income, and lower middle-income class:** Extend social protection coverage beyond the poor to include low income but not poor and lower middle income households identified as vulnerable due to income volatility and exposure to economic shocks, through instruments such as unemployment insurance or temporary income support, and contributory social insurance programs.
2. **Reorient programs toward building resilience:** Complement consumption-support programs with interventions that build long-term resilience, including support for skills, stable employment, savings, insurance, and productive asset accumulation rather than just providing temporary relief.
3. **Improve identification of vulnerable households:** Strengthen targeting and information systems to better identify households at risk of falling into poverty, reduce exclusion and inclusion errors, and enable timely, preventive interventions rather than purely reactive responses.
4. **Integrate disaster and climate risk into social protection:** Mainstream disaster risk management and climate adaptation into social protection systems to protect household assets and enable rapid recovery following shocks such as natural disasters.

Promoting Regional Development

The vulnerability profiles reveal strong spatial concentration of risk, particularly in rural and lagging regions where households face systematically higher vulnerability even when they are not currently poor. These patterns reflect unequal access to infrastructure, markets, services, and productive opportunities, which

constrain income stability and upward mobility. Reducing vulnerability and expanding the middle class therefore requires a more spatially balanced development strategy.

To address regional disparities in middle-class development, the study recommends:

1. **Prioritize infrastructure in high-vulnerability regions:** Invest in transport, communications, energy and digital infrastructure in lagging and predominantly rural areas to reduce isolation, transaction costs of doing business and improve access to markets and services.
2. **Promote regional economic diversification:** Support the development of productive sectors outside the traditional economic centers through targeted investments, industrial policy complemented by servicification, and support for regional value chains that create stable employment and new sources of wealth.
3. **Strengthen human capital in lagging regions:** Improve the quality and accessibility of education and health services in lagging regions to raise productivity and reduce intergenerational transmission of vulnerability.
4. **Enhance local institutional capacity:** Build the capacity of local governments to plan, implement and monitor development programs effectively and to manage public resources in ways that respond to local vulnerability profiles.

Improving Labor Market Outcomes

The analysis indicates that vulnerability is closely linked to the quality and stability of employment rather than income levels alone. Households dependent on informal, seasonal, or low-productivity employment face significantly higher vulnerability, even when their current incomes place them above the poverty line. Strengthening labor market outcomes is therefore central to reducing vulnerability and enabling sustained upward mobility. Suggested policy priorities include:

1. **Expand formal and stable employment:** Encourage formal job creation through regulatory reforms, simplified business registration and incentives for firms to formalize and invest in labor-intensive productive activities.
2. **Improve income security in the labor market:** Strengthen labor institutions and protections to reduce income volatility and employment insecurity while maintaining flexibility for firms.
3. **Invest in skills aligned with structural transformation:** Expand workforce development and lifelong learning systems to equip workers with skills needed for higher-productivity sectors, including digital and green industries.
4. **Support entrepreneurship and MSMEs:** Improve access to finance, training, technology and markets for micro, small and medium enterprises to foster job creation and income diversification, particularly in rural areas.

Addressing Vulnerability Factors

Beyond income and employment, vulnerability is driven by exposure to shocks, limited access to risk management tools, and constraints on asset accumulation. Health risks, disasters, financial exclusion, and insecure property and livelihood assets play a central role in pushing households into poverty and preventing

recovery. Reducing vulnerability therefore requires targeted interventions that address these underlying risk channels.

To reduce household vulnerability to poverty, the study recommends:

1. **Expand access to financial risk management tools:** Increase access to savings, credit, and insurance to enable households to smooth consumption, manage shocks, and invest in productive activities.
2. **Strengthen health systems and financial protection:** Improve the quality, accessibility and financial coverage of health services to reduce catastrophic health expenditures and health-related income losses.
3. **Enhance disaster preparedness and response systems:** Invest in early warning, preparedness, and post-disaster recovery mechanisms that protect lives, assets and livelihoods.
4. **Support asset building and security:** Promote policies that strengthen households asset ownership and security, including land tenure, housing, and business capital, particularly for vulnerable and near-poor households.

11. Conclusion

The analysis of middle-class development and vulnerability to income poverty in the Philippines reveals a complex picture of progress and persistent challenges. While the country has made significant strides in reducing extreme poverty and in expanding the middle-income class over the past three decades, the COVID-19 pandemic highlighted the fragility of these gains and the vulnerability of many households to shocks. The vision of a predominantly middle-class Philippines by 2040 remains achievable but requires sustained commitment to policies that promote inclusive growth, reduce vulnerability and build resilience. The insights presented in this study provides a foundation for evidence-based policy making that can help realize this vision while ensuring that the benefits of development are shared broadly across the population.

The recovery of the share of the middle-income class to 41.3 percent by 2023 demonstrates resilience and the effectiveness of policy responses. However, the recovery has not yet returned to pre-pandemic baselines which indicates persistent vulnerabilities that require policy attention to build sustainable middle-class growth. The persistent urban-rural divide in middle-class development reflects deeper structural issues in the Philippine economy. Rural areas continue to lag in economic opportunities, infrastructure, and access to services, limiting the potential for middle-class growth outside urban centers. The concentration of middle-income households in specific regions particularly in NCR, CAR, and CALABARZON and the persistent urban-rural divide point to the importance of geographic factors in determining economic opportunities, and the need for more inclusive development strategies. This concentration, while beneficial for regional economic growth, may exacerbate inequality and limit long-term growth potential by underutilizing human and natural resources in other regions. The policy challenge lies in expanding middle-class opportunities while maintaining the economic dynamism of leading regions.

The vulnerability analysis reveals that many Filipino households, including those currently classified as middle-income, face significant risks of falling into poverty. The vulnerability rates among low-income but non-poor and lower middle-income households suggest that recent gains may seem fragile and be susceptible to reversal during economic downturns. The factors associated with vulnerability point to potential policy interventions. Education emerges as a crucial factor, suggesting that investments in human capital can reduce

household vulnerability. Employment stability is equally important, indicating the need for policies that promote formal employment and job security.

The social protection system has made important contributions to poverty reduction, particularly through the 4Ps program, which have allowed households to build resilience and invest in human capital through education and health and thereby break the intergenerational cycle of poverty among families. The analysis reveals significant gaps in social protection coverage. Existing social protection programs, especially the 4Ps primarily targets the poorest segments of the population, leaving the non-poor low-income and middle-class households exposed to economic shocks. The COVID-19 pandemic highlighted these gaps, as many middle-class families experienced significant hardship but were ineligible for 4Ps assistance, while they were provided support through different means such as “*ayuda*”.

The vulnerability assessment defines the probability of a household finding itself income-poor but does not capture its long-term economic prospects. The 4Ps program is intended to lift households out of future poverty by investing in children’s present education and health through conditional cash transfers. It is important for low-income households to build the assets and capabilities necessary for resilience and sustained household upward mobility, and the 4Ps program through programmatic improvements can be instrumental in achieving this.

The Philippines is soon to breach upper middle-income status. With this, the poverty thresholds will have to be significantly adjusted upward. The Philippines still has a considerable share of its population who remain vulnerable, deemed ‘poor’, at 58.7 percent, if assessed at upper-middle income country standards of the World Bank, in which the poverty threshold is \$8.30 a day. This means that we should be rethinking our views of social protection to cover not just the poor, but the near poor, and even up to the lower middle class, and progressively work toward universal social protection.

The findings in this study underscore that poverty in the Philippines is increasingly dynamic rather than static. Preventing future poverty by strengthening household resilience is therefore as important as reducing current poverty. Vulnerability analysis provides a necessary complement to traditional poverty measurement in guiding this transition.

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